IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No232

CP(CAA)/6(AHM)2023
in
CA(CAA)/50(AHM)2022

Proceedings under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Akar HR Management Pvt Ltd **.....Applicant**
Akar Brokers Pvt Ltd
Akar Fare Collection Pvt Ltd **.....Respondent**

Order delivered on 17/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

PRESENT:

For the Applicant	: Ms. Vaibhavi Parikh, Adv.
For the Income Tax	: Ms. Pankti Shah, Adv.
For the RD	: Mr. Liladhar Sharma, Asst. Director

ORDER

Learned Counsel Ms. Vaibhavi Parikh appears for the Petitioner companies and files Speaking to Minutes seeking rectification of order dated 15.06.2023. We have gone through the application and order dated 15.06.2023. Following rectifications are made in the said order:

1. In the last line of page 12 words "AHMP" is replaced by "AHMPL".
2. In the fourth line on page 13 word "AFCPL" is replaced by "ABPL".
3. In the last line on page 13, number of shares is wrongly quoted as 90,000 instead of 99,000. Figure 99,000 to replace figure of 90,000.

The above corrections are carried out under Rule 154 of NCLT Rules and the amended order be uploaded.

In view of the above order, speaking to minutes is disposed of. The registry has wrongly listed the main matter today. Such mistakes should be avoided.

-Sd-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-Sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No. 303

CP(CAA)/6(AHM)2023
in
CA(CAA)/50(AHM)2022

Proceedings under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Akar HR Management Pvt Ltd **.....Applicant**
Akar Brokers Pvt Ltd
Akar Fare Collection Pvt Ltd **.....Respondent**

Order delivered on 15/06/2023

Coram:

Mr. Deep Chandra Joshi, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-
DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
(COURT NO. II)

CP (CAA) 6/AHM/2023
IN
CA (CAA) 50/AHM/2022

[Sections 230-232 and read with Section 66 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamation) Rules, 2016]

In the Matter of Scheme of Arrangement
In the Nature of Demerger

OF

AKAR HR MANAGEMENT PRIVATE LIMITED
(Petitioner Company No. 1/ Demerged Company)

AND

AKAR BROKERS PRIVATE LIMITED
(Petitioner Company No. 2/ Resulting Company No.1)

AND

AKAR FARE COLLECTION PRIVATE LIMITED
(Petitioner Company No. 3/ Resulting Company No.2)

AND

Their Respective Shareholders and Creditors

Order Pronounced on: 15/06/2023

Coram:
DEEP CHANDRA JOSHI,
HON'BLE MEMBER (JUDICIAL)
AJAI DAS MEHROTRA,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

In the matter of:

AKAR HR MANAGEMENT PRIVATE LIMITED
(CIN: U74120GJ2013PTC077942)
Registered office at;
308, Wood Square, Near TGB Restaurant,
L.P. Savani Road, New Adajan,
Surat-395009 in the State of Gujarat.

…Petitioner Company No. 1/
Demerged Company

AND

AKAR BROKERS PRIVATE LIMITED
(CIN: U67190GJ2022PTC131527)
Registered office at;
308, Woodsquare, Near Vasupujya Apartment,
Opposite TGB Hotel, Adajan,
Surat-395009 in the State of Gujarat.

… Petitioner Company No. 2/
Resulting Company No.1

AND

AKAR FARE COLLECTION PRIVATE LIMITED
(CIN: U74910GJ2022PTC131530)
Registered office at;
308, Woodsquare, Near Vasupujya Apartment,
Opposite TGB Hotel, Adajan,
Surat-395009 in the State of Gujarat.

… Petitioner Company No. 3/
Resulting Company No. 2

For the Petitioners **:** Ms. Vaibhavi Parikh, Adv.
For the Income Tax Department: Ms. Pankti Shah, Adv. for Ms. Maithili Mehta, Adv.

ORDER

1. The present joint Application is filed under Section 230-232 read with other applicable provisions of the Companies Act, 2013 (hereinafter referred to as "the Act"), and read with the Companies (Compromise, Arrangement, and Amalgamations) Rules, 2016, for sanctioning the Scheme of Arrangement in the nature of Demerger and Transfer of Broking Division and Fare Collection Division of Akar HR Management Private Limited ('AHMPL') (hereinafter referred as De-merged Company) to Akar Brokers Private Limited ('ABPL') (hereinafter referred as Resulting Company No. 1) and Akar Fare Collection Private Limited ('AFCPL') (hereinafter referred as Resulting Company No. 2) respectively, and Restructuring of the Capital of these Companies, and their respective Shareholders and Creditors with effect from the Appointed Date on the agreed terms and conditions as set out in the Scheme annexed in accordance with Sections 230 to 232 of the Companies Act, 2013.

2. From the records, it is seen that the first motion seeking directions for convening/dispensing of the meeting of the Equity Shareholders, secured and Unsecured Creditors of all the Petitioner Companies was allowed, vide order dated 24.01.2023.

3. The Petitioner Companies have filed 2nd motion joint petition before this Tribunal on 06.02.2023, vide order dated 16.02.2023, the joint petition was admitted, issuing Notices to the connected Regulatory authorities, and also directing publication in the newspapers "Indian Express" (English language-Surat Edition) and "Divya Bhaskar" (Gujarati language-Surat Edition). Both Petitioner Companies have filed respective compliance affidavits.

4. The Regional Director, North Western Region, MCA has filed common report on 29.03.2023, along with the report of RoC, Ahmedabad. They have sought following directions:

   i) Compliance of Section 61, read with Section 64, of the Companies Act, 2013 and payment of stamp duty, registration fees etc. and to file the relevant e-form with respective Registrar of the Companies.

   ii) The compliance of section 2 (19AA) of the Income Tax Act.

   iii) There is no provision in the Companies Act to reduce the authorized capital of one company and transfer the same to some other company. The Hon'ble Tribunal may therefore not allow transfer of authorized

capital of the demerged company to the authorized capital of resulting company.

iv) The petitioner companies to pay such amount of legal fees/cost to the Central Government which may be considered appropriate by this Hon'ble Tribunal.

v) The petitioner company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme, the petitioner company shall not be absolved from any of its statutory liabilities, in any manner.

vi) To submit the complete list and full details of assets and liabilities which are proposed to be transferred to the resulting company under the scheme.

vii) Necessary stamp duty on transfer of property/assets to be paid to the respective authorities before implementation of the scheme.

5. The Petitioner Companies have filed a common affidavit in reply to the observations of Regional Director and RoC on 11.04.2023 and stated as follows:

i) That in so far as the compliance of provisions under Section 61 of the Act by the Resulting Companies is concerned, the same has already been provided in the present scheme at Clause 13.2 and Clause 13.3 respectively.

ii) That the present scheme being a scheme of arrangement under Section 66 read with Sections 230-232 of the Act is a complete code in itself and considering the principle of 'Single Window Clearance', it is not necessary for the Resulting companies to comply with the provisions of Section 61 of the Act separately.

iii) That the present scheme being approved and consented by all the equity shareholders of the petitioner companies vide consent letters on affidavit amounts to consenting the entire scheme as a whole, and therefore, no separate procedure is required to be followed as envisaged by the Section 61 of the Act therefore, as the said requirement has already been complied with by the petitioner companies in the scheme itself and the same being an integral part of the scheme consented by all the equity shareholders of the petitioner companies, the observation of Regional Director, therefore, does not survive and no directions are required to be issued in this regard.

iv) That the proposed composite scheme is in compliance with Section 2(19AA) of the Income Tax Act, 1961 as provided in clause D of the scheme and the petitioner companies further undertake to comply with the said provisions.

v) That, as a matter of fact the Authorized Share Capital of the petitioner de-merged company is not getting transferred. In fact, as two separate divisions of the petitioner de-merged company are getting transferred to

two separate petitioner Resulting Companies which is mentioned in Clause No. 13 of the Scheme, there is consequential reduction in the Share Capital of the petitioner de-merged company which has been specifically stated in the Scheme at Clause No.13. There is consequential reduction due to transfer of two division of the petitioner de-merged company, and therefore, as the same being a consequential reduction, there is no transfer of authorized share capital of one company to other companies. Thus, as there being no transfer of the authorized share capital from de-merged company to the resulting companies, the observation of the Regional Director does not survive.

vi) That the petitioner companies shall ensure statutory compliance of all applicable laws, and that all the petitioner companies shall not be absolved from any of their statutory liabilities.

vii) That the petitioner companies shall comply with the necessary provisions of the Act upon sanction of the scheme.

viii) That the petitioner companies shall pay legal fees/expenses to the Central Government, as and when so directed by the Hon'ble Tribunal.

6. The Income Tax Department filed its report on 28.03.2023 and submitted that total outstanding demand pending is of Rs. 10,12,870/- for the assessment year 2018-19 relating to the Demerged Company. Further, there are no outstanding demand or any other proceedings pending against the Resulting Company No.1 and Resulting Company No.2.

7. Petitioner companies filed a reply on 13.04.2023 to the observation made by Income Tax department and submitted that with respect to the demand to the tune of Rs. 10,12,870/- raised by the department under Section 143(3) of the Income Tax Act, 1961, the demerged company has preferred a rectification application before the concerned Assessing Officer which is pending for adjudication. It is further submitted that present composite scheme is a scheme of demerger wherein none of the company is getting dissolved. Therefore, any proceedings by or against the demerged company may be continued, prosecuted, and enforced. A Copy of the rectification application made to the Income Tax Department is annexed with this reply.

8.1. As recorded in the order dated 13.04.2023, Learned Assistant Director, Mr. Shiv Pal Singh appeared for RD and objected to transfer of authorized capital from demerging unit to the resulting company.

8.2. However, as explained by the Learned Counsel for petitioner companies there is no transfer of authorized capital in this Scheme (Refer para 5(v) supra). The authorized share capital of Resulting Company No.1 and Resulting Company No.2 has been increased in the Scheme.

8.3. The objection raised by the Regional Director with respect to the petitioner companies is that they may not be allowed to enhance the authorized capital of the resulting companies. In this regard, petitioner companies relied upon and filed the copy of the judgement by the Hon'ble High Court of Gujarat in the case of Elitecore Technologies Private Limited …Petitioner(s) Versus -

…Respondent(s) (Company Petition No. 56 of 2012 in Company Application No. 131 of 2012 with Company Petition No. 57 of 2012 in Company Application No. 132 of 2012). The relevant paragraph of this is judgement reproduced hereunder:

> *"…It is submitted that it is now established and accepted in a number of cases by various High Courts and this Court that the principle of Single Window Clearance permits all other formal requirements of the Companies Act, such as approval of change of objects or any other alteration of the Memorandum of Association and all other consequential or incidental changes required for implementing the Scheme, to be formalized in a single petition. It is further submitted that there is no requirement of paying registration fees and stamp duty, as the Demerged Company has already paid the requisite registration fees and stamp duty payable under the Statute. Having once duly paid the amounts on periodic increases in share capital, further duty and charges cannot be levied when part of the same share capital becomes the share capital of the Resulting Company by effect of law. In support of this submission, reliance has been placed upon the following judgments:*
>
> *(i) Bazley Finvest Ltd., In re, reported in [2005] 64 SCL 480 (GUJ).*
>
> *(ii) Alchemist Ltd. and Alchemist Foods Ltd., In re, reported in [2010] 160 Company Cases 469 (Delhi)*

(iii) Aegis Healthcare Private Limited, In re, reported in [2008] 146 Company Cases 53 (Guj.)

(iv) Ashim Investment Co. Ltd., In re, reported in [2007] 138 Company Cases 89 (Delhi)

13. Mr.P.S.Champaneri, learned Assistant Solicitor General of India has submitted that the judgments in Bazley Finvest Ltd. and Aegis Healthcare Private Limited (Supra.), have been rendered in cases of amalgamation, whereas the present case is that of demerger.

14.No other contentions have been raised by way of pleading or oral submissions before this Court.

15. Having heard the learned counsel for the respective parties and upon consideration of the submissions made by them and the judgments cited at the Bar, this Court is of the considered view that none of the objections raised by the Regional Director are sustainable. Though the judgments in Bazley Finvest Ltd. and Aegis Healthcare Private Limited (Supra.), have been rendered in cases of amalgamation, however, the judgments in the cases of Alchemist Ltd. and Alchemist Foods Ltd. and Ashim Investment Co. Ltd. (Supra), are in the cases of demerger. Moreover, in Bazley Finvest Ltd. (Supra.), this Court has approved the ratio in the case of Ashim Investment Co. Ltd. (Supra), which is a case of demerger. The principle of law laid down by the Courts in these judgments, namely that Section-391 is a complete code and the principle of Single Window Clearance permits all other formal requirements of the Companies Act, required for

implementing the Scheme to be formalized in a single petition would, in the view of this Court, apply to cases of demerger as well as amalgamation.

15. In view of the above, this Court is satisfied that the Scheme of Arrangement would be in the interest of the Companies and their members and creditors and the prayers in terms of para 20 of the Company Petition No.56 of 2012 and para 19 of Company Petition No.57 of 2012 are hereby granted.

16. The petitions are disposed of, accordingly. So far as the costs to be paid to the Learned Central Government Counsel are concerned, the same are quantified at Rs.7,500/- per petition. The same may be paid to Shri P. S. Champaneri, learned Assistant Solicitor General of India."

In view of the above judgment of jurisdictional High Court, we have no ground to interfere in the enhancement of authorized capital by the resultant companies no.1 and 2.

9. Learned counsel Ms. Pankti Shah appeared for the Income Tax Department and stated that she has already filed report and since learned counsel for the petitioner company makes statement that demerged company will continue to be in existence and undertakes to pay the tax due as per law, subject to the statement made by the petitioner company, Income Tax Department has no objection if the scheme is approved.

10. The petitioner demerged company has filed respective audited financial statements as on 31st March 2022 and unaudited provisional financial statement as on 15th June 2022 which are placed on record. The unaudited/provisional financial statements as on 15th June 2022 of the petitioner resulting companies are placed on record.

11. In compliance with the proviso to sub-section (7) of Section 230 of the Companies Act, 2013, both the Petitioner Companies have placed on record the Certificates of respective statutory auditors confirming that the accounting treatment envisaged under the Scheme of Arrangement is in compliance with the applicable accounting standards notified by the Central Government in Section 133 of the Companies Act, 2013.

12. As per the valuation report the share exchange ratio is as follows:

10 Determination of Fair Share Entitlement Ratio

10.1 Fair Share Entitlement Ratio for the equity shareholders of AHMPL on demerger of Broking Undertaking to ABPL

- *Based on the valuation derived the resultant company, i.e., ABPL will issue 35,000 shares of the company, at Face Value of Rs. 10/- per share, to the shareholders of the demerged entity in the shareholding ratio of the demerged company, i.e., a share entitlement ratio of 7 shares of Rs.10/- each of ABPL. for every 20 shares of Rs. 10/- each held in AHMPL.*

- *Further, Rs. 3,17,75,099, will be transferred as Capital Reserve in the resulting company.*
- *Accordingly, the post issue shareholding of the resultant company, i.e., ABPL will be as follows*

NAME	*NUMBER OF SHARES*	*% OF HOLDING*
Mumtaz Deven Desai	*92,500*	*50.00%*
Deven Jayavantlal Desai	*92,500*	*50.00%*

10.2 Fair Share Entitlement Ratio for the equity shareholders of AHMPL on demerger of Fare Collection Undertaking to AFCPL

- *Based on the valuation, the resultant company, i.e., AFCPL will issue 48,000 shares of the company, at Face Value of 10/- per share, to the shareholders of the demerged entity in the shareholding ratio of the demerged company, ie, a share entitlement ratio of 12 shares of Rs. 10/- each of AFCPL for every 25 shares of Rs. 10/- each held in AHMPL*
- *Further, Rs. 4,35,77,279, will be transferred as Capital Reserve in the resulting company.*
- *Accordingly, the post issue shareholding of the resultant company, ie., AFCPL will be as follows,*

NAME	*NUMBER OF SHARES*	*% OF HOLDING*
Mumtaz Deven Desai	*99,000*	*50.00%*
Deven Jayavantlal Desai	*99,000*	*50.00%*

10.3 Capital Reduction in AHMPL on account of demerger of Broking & Fare Collection Undertaking from the company.

- *On account of transfer of Broking & Fare Collection Division / Undertaking from the company, the paid - up and issued share capital of the company will be reduced by Rs. 8,30,000, i.e., 83,000 shares of the company, i.e., 83 shares of Rs. 10/- each, out of every 100 shares of Rs. 10/- each, held by the shareholders will be cancelled.*
- *Accordingly, the post reduction shareholding of the demerged company, i.e., AHMPL will be as follows,*

NAME	*NUMBER OF SHARES*	*% OF HOLDING*
Mumtaz Deven Desai	*8,500*	*50.00%*
Deven Jayavantlal Desai	*8,500*	*50.00%*

13. Heard submissions and perused documents placed on record. Considering the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, and satisfaction accorded by the respective regulatory authorities, in view of the petitioner companies having filed undertaking to comply with the requirements raised by the respective regulators, we sanction the Scheme under Section 230-232 of the Companies Act, 2013 as annexed at annexure A. The Petitioners shall

however remain bound to comply with the statutory requirements in accordance with the respective laws.

14. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioners.

15. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes including income tax, GST etc., or any other charges or payment in accordance with law, or any kind of waiver in respect of any permission / compliance with any other requirement which may be specifically required under any law.

16. The Scheme is sanctioned with following directions:

i. The Demerged undertakings shall, together with all their property, rights and powers be transferred without further act or deed to the Resulting Company No.1 and Resulting Company No.2 and accordingly the same shall pursuant to Section 232 of the Act, stand transferred to and vest in the Resulting Company No.1 and Resulting Company No.2 for all the estate and interest of the Demerged Undertakings.

ii. All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties,

special status, other benefits or privileges and any power of attorney relating to the Demerged Undertakings of the Demerged Company shall stand transferred to and vested in the Resulting Company No.1 and Resulting Company No.2, without any further act or deed. The Resulting Company No.1 and Resulting Company No.2 shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Resulting Company No.1 and Resulting Company No.2.

iii. All the liabilities and duties of the Demerged Undertakings of the Demerged Company be transferred, without further act or deed, to the Resulting Company No.1 and Resulting Company No.2 and accordingly the same shall pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company No.1 and Resulting Company No.2.

iv. All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Demerged Undertakings of the Demerged Company, shall stand transferred to and vested in the Resulting Company No.1 and Resulting Company No.2 and be in full force and effect in favour of the Resulting Company No.1 and Resulting Company No.2 and may be enforced by or against it as fully and effectually against the Resulting Company No.1 and Resulting Company No.2.

v. All taxes paid or payable by the Demerged Undertakings of the Demerged Company including existing and future incentives, un-availed credits and exemptions, benefit of carried forward losses and other statutory benefits, shall be available to and vest in the Resulting Company No.1 and Resulting Company No.2.

vi. All proceedings now pending by or against the Demerged Undertakings of the Demerged Company shall be continued by or against the Resulting Company No.1 and Resulting Company No.2.

vii. All employees in the service of the Demerged Undertakings of the Demerged Company shall be deemed to have become the employees and the staff of the Resulting Company No.1 and Resulting Company No.2 on date on which the scheme finally takes effect on the basis that their services shall be deemed to have been continuous and not have been interrupted by reasons of the said transfer and on term and conditions no less favourable than those on which they were / are engaged, as on the Effective Date.

viii. The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for adjudication of stamp duty, and pay requisite stamp duty payable, if any, within 60 days from the date of this Order.

ix. Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

x. Company Petition is allowed and disposed of, in terms of above order.

-SD-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-
DEEP CHANDRA JOSHI
MEMBER (JUDICIAL)

Abhishek Singh
LRA

Annexure 'A'

Annexure- "G"

SCHEME OF ARRANGEMENT

IN THE NATURE OF DE-MERGER

BETWEEN

AKAR HR MANAGEMENT PRIVATE LIMITED
(DE-MERGED COMPANY)

AND

AKAR BROKERS PRIVATE LIMITED
(RESULTING COMPANY NO. 1)

AND

AKAR FARE COLLECTION PRIVATE LIMITED
(RESULTING COMPANY NO. 2)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

(UNDER SECTIONS 66, 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013)

A. PREAMBLE

The present Scheme of Arrangement in the nature ofDe-merger is presented under Sections 230 to 232 together with Sections 13, 14, 61, 62 and 66 and with other applicable provisions of the Companies Act, 2013 and the Rules framed by the Central Government under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, including any statutory modification, re-enactments or amendments thereof from time to time for De-mergerand in compliance with Sections 2(1B), 2(19AA) and other applicable provisions of the Income Tax Act,1961, Rules and Regulations thereunder of two undertakingsnamely Broking Division and Fare Collection Division along-with all its related assets and liabilities of **Akar HR Management Private Limited**, the "De-mergedCompany", on a going concern basis, into **Akar Brokers Private Limited**, the" Resulting Company No.1"and**Akar Fare Collection Private Limited**the "Resulting Company No.2" respectively.

B. BACKGROUND OF THE COMPANIES

(1) Akar HR Management Private Limited (hereinafter referred to as **"Akar HR"** or **"De-merged Company"**) is a private limited company having Corporate Identification Number (CIN) U74120GJ2013PTC077942. Akar HR was

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED DIRECTOR

incorporated as a private limited company under the Companies Act, 1956 on 17th December, 2013 in the name and style of Akar Human Resource Management Private Limited. Subsequently, its name was changed to Akar HR Management Private Limited videa fresh certificate dated12th August, 2014.The Registered Office of Akar HR is situated at 308, Wood Square, Near TGB Restaurant, L.P. Savani Road, New Adajan, Surat – 395 009 in the State of Gujarat. Akar HR is engaged in the business of Human Resource Management and Manpower Services which also undertakes on regular basis the business of Broking involved in Mutual Funds and Securities and Fare Collection business to collect fares from Bus Rapid Transit System (hereinafter referred to as **"BRTS"**). The Income Tax Permanent Account Number (PAN) of the De-merged Company is AAMCA2951P.

(2) Akar Brokers Private Limited (hereinafter referred to as **"Akar Brokers"** or **"Resulting Company No. 1"**) is a newly incorporated private limited company under Companies Act, 2013 on 28th April, 2022 having Corporate Identification Number (CIN) U67190GJ2022PTC131527. The Registered Office of Akar Brokers is situated at 308, Woodsquare Near Vasupujya Apartment, Opposite TGB Hotel, Adajan, Surat – 395 009 in the State of Gujarat. Akar Brokers is incorporated to undertake the business of Broking involved in the activities of investment in Mutual Funds and Securities. The Income Tax Permanent Account Number (PAN) of the Resulting Company No. 1 is AAWCA9177F.

(3) Akar Fare Collection Private Limited (hereinafter referred to as **"Akar Fare"** or **"Resulting Company No. 2"**) is a newly incorporated private limited company under Companies Act, 2013 on 28th April, 2022 having Corporate Identification Number (CIN) U74910GJ2022PTC131530. The Registered Office of Akar Fare is situated at 308, Woodsquare Near Vasupujya Apartment, Opposite TGB Hotel, Adajan, Surat – 395 009 in the State of Gujarat. Akar Fare is incorporated to undertake the business of collecting Fares from BRTS. The Income Tax Permanent Account Number (PAN) of the Resulting Company No. 2 is AAWCA9178L.

C. RATIONALE OF THE SCHEME

(i) The De-merged Company was promoted for conducting business of Human Resource Management and Manpower Services which also undertakes on regular basis the business of Broking involved in Mutual Funds and Securities and Fare Collectionbusiness to collect fares from BRTS. However, now considering the horizontal growth of the business and growing business needs of the De-merged

For AKAR HR Management Pvt. Ltd. AKAR BROKERS PRIVATE LIMITED AKAR FARE COLLECTION PRIVATE LIMITED

(Director) DIRECTOR DIRECTOR

Company, the promoters and shareholders have felt emergent need to de-merge the Broking Division and the Fare Collection Division of the De-merged Company into two separate Companies *viz.* Akar Brokers Private Limited and Akar Fare Collection Private Limited, respectively. The business under Broking Division is being transferred to Akar Brokers Private Limited, the Resulting Company No.1 and the business under Fare Collection Division is being transferred to Akar Fare Collection Private Limited,the Resulting Company No.2. The De-merged Company viz. Akar HR Management Private Limited shall retain and continue to focus only on the residual business activity under the Human Resource Division. The proposed arrangement between the De-merged Company and the Resulting Companies shall bifurcate the present horizontal business activities of the De-merged Company into the Resulting Companies after retaining the Human Resource Division.

(ii) Under the Scheme, 83% shareholding of the De-merged Company shall be divided into two Resulting Companies and all the shareholders of the De-merged Company shall also become the shareholders of the Resulting Companies in the same proportion in which they are holding shares in the De-merged Company.

(iii) De-merger of the De-merged Undertakings to the Resulting Companies would enable the Resulting Companies to undertake their respective business operations with thrust to focus more on core business competencies. The shareholders of the De-merged Company are of the opinion that the Scheme is in the genuine business interest of the De-merged and Resulting Companies, their respective shareholders, creditors and the general public. Once approved and implemented, the Scheme shall enable the Resulting Companies to achieve and fulfill their respective objectives more efficiently and offer opportunities to their respective management to vigorously pursue growth and expansion opportunities.

(iv) This Scheme accordingly, provides for the De-merger of the De-merged Undertakings from the De-merged Company and its vesting into the respective Resulting Companies on a going concern basis, at respective book value of the assets, including consequential or related matters integrally connected therewith.

The arrangement shall also bring *inter-alia* the following benefits:

- Enable the companies to concentrate on their core business competencies;
- Scale up operational capacities by infusion of fresh funds for focused business operations;
- Ensure optimum utilization of asset base for diversified business activities;
- Bring about optimum utilization of resources for companies;

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR BROKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

- Facilitate expansion or any other arrangement in the companies depending upon the opportunities in the future with similar business to achieve economies of scale and better and improved profitability;
- Ensure effective and efficient administration, divided management and control of all the companies post approval of Scheme;
- To structure a vehicle that can be used for the purpose of infusing fresh strategic capital in near future in all the companies.
- This Scheme of Arrangement will provide independence to the management in decisions regarding the use of their respective cash flows. It will enable the said businesses to be carried on more conveniently and advantageously. Hence cost optimisation, economies of scale and specialisation can be achieved.
- The Management believes that the proposed Scheme will create enhanced value for shareholders and allow a focused strategy in operations, which would be in the best interest of the shareholders, employees and other stakeholders in each of the companies.

D. TREATMENT OF THE SCHEME FOR THE PURPOSE OF INCOME TAX ACT, 1961:

De-merger of the Broking Division and Fare Collection Division (as defined hereinafter) from the De-merged Company to the respective Resulting Companies pursuant to this Scheme shall take place with effect from the Appointed Date (as defined hereinafter) and shall be in accordance with the provisions of Section 2(19AA) of the Income Tax Act, 1961such that:

(i) All the properties of De-merged Company forming part of the respective De-merged Undertakings immediately before the De-merger shall become the properties of the respective Resulting Companies by virtue of the De-merger.

(ii) All the liabilities of De-merged Company forming part of the respective De-merged Undertakings immediately before the De-merger shall become the liabilities of the respective Resulting Companies by virtue of the De-merger.

(iii) The properties and the liabilities relatable to the De-merged Company forming part of the respective De-merged Undertakings shall be transferred to the respective Resulting Companies at the values appearing in the books of account of the De-merged Company immediately before the De-merger.

(iv) The respective Resulting Companies shall issue in consideration of De-merger, shares to the shareholders of the De-merged Company as per the Share Entitlement Ratio.

(v) All the shareholders of the De-merged Company as on the Record Date (as defined hereinafter) shall become the shareholders of the Resulting Company by virtue of the De-merger.

(vi) The transfer of the De-merged Undertakings shall be on a going concern basis.

(vii) If any of the terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of Section 2(19AA) of the Income Tax Act, 1961 at a later date including resulting from an amendment of law or for any other reason whatsoever, the provisions of Section 2(19AA) of the Income Tax Act, 1961 shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(19AA) of the Income Tax Act, 1961. Such modifications shall however not affect the other parts of the Scheme.

PARTS OF THIS SCHEME

This Scheme of Arrangement is divided into the following parts: -

Part A deals with Definitions of various capitalised terms as used in this Scheme and Capital Structure of the De-merged Company, the Resulting Company No. 1 and the Resulting Company No. 2;

Part B deals with the transfer and vesting of the De-merged Undertakings from the De-merged Company into respective Resulting Companies and Reorganisation of Share Capital of the Companies and Amendments in the Memorandum and Articles of Association of the Companies;

Part C deals with the General Terms and Conditions applicable to this Scheme.

PART – A

DEFINITIONS, INTERPRETATION AND CAPITAL STRUCTURE

1. DEFINITIONS

In this Scheme, unless inconsistent with the subject or the context thereof, the expressions hereunder shall have the following meanings:

(a) Capitalised Terms defined by inclusion in quotation and/or parenthesis have the meaning so ascribed.

(b) Subject to (c), all the terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, shall have the same meaning ascribed to them under the Act and other applicable laws, rules, regulations, bye-laws, as the case may be or any statutory modification(s) or re-enactment(s) thereof from time to time.

(c) The following expressions shall have the following meanings:

For AKAR HR Management Pvt. Ltd. AKAR RECOVERS PRIVATE LIMITED AKAR FARE COLLECTION PRIVATE LIMITED

(Director) DIRECTOR DIRECTOR

1.1. **"Act" or "The Act"shall** mean the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 as notified and ordinances, rules and regulations made and notifications and circulars as issued thereunder and other applicable provisions, for time being in force, including any statutory modifications, re-enactments or amendments thereof;

1.2. **"Accounting Standards"**shall mean the Accounting Standards as notified under Section 133 of the 2013 Act, as amended from time to time, issued by the Ministry of Corporate Affairs and the other accounting principles generally accepted in India;

1.3. **"Applicable Laws"**shall mean any statute, law, regulation, ordinance, rule, regulation, judgment, order, decree, clearance, approval, terms of any approval, permit or no-objection of any Governmental Authority, directive, guideline, policy, requirement, listing agreement or other governmental restriction or any similar form of decision, or determination by, or any interpretation or administration of any of the foregoing by, any Governmental Authority, in each case as in effect from time to time;

1.4. **"Appointed Date"** for the purpose of this Scheme and for the IT Act, means the opening hours of business on 15th day ofJune 2022;

1.5. **"Appropriate Authority"**shall mean any applicable central, state or local government, legislative body, regulatory, administrative or statutory authority, agency or commission or department or public or judicial body or authority, including, but not limited to Regional Director, Registrar of Companies, National Company Law Tribunal, Official Liquidator and Income – tax Authority;

1.6. **"Board of Directors"** or **"Board"** or **"Management"**in relation to the De-merged Company and the Resulting Companies, as the case may be, shall meanthe Board of Directors of such Company, and unless repugnant to the subject, context or meaning thereof, shall be deemed to include every committee (including any committee of directors) or any person authorized by the Board or by any such committee;

1.7. **"Broking Division"** shall mean the running business, division and undertaking of the De-merged Company with respect to business of providing the services of the Mutual Funds, Securities, Broking, Agents, including all properties, liabilities, assets, equipments and investments of the said Division at their book value described in the **Schedule – I** hereto;

1.8. **"Effective Date"** shallmean the last of the dates on which the authenticated copies or certified copies of the order sanctioning theSchemeof De-merger as passed by the National Company Law Tribunal are filed with the Registrar of

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED DIRECTOR

Companies, Ahmedabad, Gujaratby the De-merged Company and Resulting Companies respectively.

References in this Scheme to the date of **"Coming into effect of this Scheme"**or**"Upon the Scheme being effective"**shall meanthe effective date;

1.9. **"Encumbrance" or "Encumber"** shall mean any mortgage, charge, pledge, lien, assignment, hypothecation, security interest, title retention or any other agreement or arrangement the effect of which is the creation of security, or any other right to acquire or option, any right of first refusal or any right of pre-emption, or any agreement or arrangement to create any of the same;

1.10. **"Fare Collection Division"** shall mean the running business, division and undertaking of the De-merged Company with respect tobusiness of collection of fares from BRTS including all the properties, liabilities, assets, equipments and investments of the said Division at their book value described in the **Schedule-II** hereto;

1.11. **"Governmental Authority"**shall mean any applicable central, state or local government, legislative body, regulatory or administrative authority, agency or commission or any court, tribunal, board, bureau or instrumentality thereof or arbitration or arbitral body having jurisdiction over the territory of India including but not limited to Securities and Exchange Board of India, Stock Exchange, Registrar of Companies, Regional Director, Official Liquidator, NCLT;

1.12. **"IT Act"** shallmean the Income Tax Act, 1961 of India, and shall include any statutory modifications, re-enactments or amendments thereof for the time being in force;

1.13. **"NCLT"**shall mean the jurisdictional Bench of the National Company Law Tribunalat Ahmedabad and shall include, if applicable, such other forum or authority as may be vested with the powers of the NCLT under the Act;

1.14. **"Record Date"** shall mean the date to be fixed by the Board of the respective Resulting Companies in consultation with the De-merged Company for the purpose of determining the respective equity shareholders of the De-merged Company who shall be entitled to receive the equity shares of the respective Resulting Companies as per Clause 13of the Scheme pursuant to De-merger;

1.15. **"Registrar of Companies"** or **"RoC"** shall mean the Registrar of Companies, Gujarat at Ahmedabad;

1.16. **"Regional Director"**shall mean the Regional Director, North-Western Region, Ahmedabad having jurisdiction in relation to the De-merged Company and ResultingCompaniesand/or the Regional Director ("RD")as constituted and authorized as per the provisions of the Companies Act, 2013 for approving any

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED DIRECTOR

Scheme of Arrangement, Compromise or Reconstruction of Companies under Sections 230-232 of the Companies Act, 2013 and shall include, if applicable, such other forum or authority as may be vested with the powers of a tribunal for the purpose of Sections230-232 of the Companies Act, 2013 as may be applicable;

1.17. **"Scheme"** or **"This Scheme"**or **"The Scheme"** shall mean the present Scheme of Arrangement in the nature of De-mergerand Transfer of Broking Division and Fare Collection Division along-with their related assets and liabilities, employees from the De-mergedCompany into the respective Resulting Companies including any modifications or amendments hereto, made in accordance with the terms hereofor as directed by the NCLT;

1.18. **"Tax" or "Taxes"** shall mean any and all taxes (direct or indirect), surcharges, fees, levies, duties, tariffs, imposts and other charges of any kind in each case in the nature of a tax, imposed by any Governmental Authority (whether payable directly or by withholding), including taxes based upon or measured by income, windfall or other profits, gross receipts, property, sales, severance, branch profits, customs duties, excise, cenvat, withholding tax, self-assessment tax, advance tax, service tax, goods and services tax, stamp duty, transfer tax, value-added tax, minimum alternate tax, banking cash transaction tax, securities transaction tax, taxes withheld or paid in a foreign country, customs duty and registration fees (together with any and all interest, penalties, additions to tax and additional amounts imposed with respect thereto);

1.19. "Tax Laws" shall mean all the applicable laws, acts, rules and regulations dealing with Taxes including but not limited to the income tax, wealth tax sales tax/value added tax, service tax, goods and service tax, excise duty, customs duty or any other levy of similar nature;

1.20. **"The De-merged Company"** or **"Akar HR Management Private Limited"** or **"Akar HR"** shall have meaning ascribed to it in Clause B(1);

1.21. **"The Resulting Company No.1"**or **"Akar Brokers Private Limited"** or **"Akar Brokers"** shall have meaning ascribed to it in Clause B(2);

1.22. **"The Resulting Company No.2"**or**"Akar Fare Collection Private Limited"** or **"Akar Fare"** shall have meaning ascribed to it in Clause B(3);

1.23. **"The Resulting Companies"** shall mean Akar Brokers Private Limited and Akar Fare Collection Private Limited collectively;

1.24. **"The Remaining Undertaking"** shall mean all the business, assets, properties, investment, equipment and liabilities of the De-merged Company other than that of the De-merged Undertakings viz. Broking Division and Fare Collection Division (Clause 1.25 of the Scheme) of the De-merged Company and includes

For AKAR HR Management Pvt. Ltd. AKAR BROKERS PRIVATE LIMITED AKAR FARE COLLECTION PRIVATE LIMITED

(Director) DIRECTOR DIRECTOR

all other business units including other divisions and their respective assets, liabilities including contracts and employees not allocated to the De-merged Undertakings of the De-merged Company;

1.25. **"The De-merged Undertakings"** shall meanand comprise of activities and operations pertaining to business of theBroking Division and Fare Collection Division of the De-merged Company as on the close of business of the day immediately preceding the Appointed Date which shall be transferred under the Scheme by the De-merged Company on a going concern basis at their respective book values as appearing in the accounts of the De-mergedUndertakings to the respective Resulting Companies, comprising of the assets, liabilities, employees which relate thereto and the details of which are separately described under the Scheme in Schedules – I&II herein, including but not limited to the following:

(a) The assets, liabilities and properties of the De-merged Undertakings viz. movable or immovable assets,title, properties, interests, loans, advances (including accrued interest) and rights, including rights arising under contracts, wherever located (including in the possession of vendors, third parties or elsewhere), whether real, personal or mixed, tangible, intangible or contingent,exclusively used or held for use in business, activities and operations pertaining to its De-merged Undertakings, including but not limited toplant and machinery, offices, capital work in progress,software, receivables, deposits, all stocks, assets, bank borrowings, investments, inventories, cash and bank balances, books of accounts, all projects, all customer contracts, furniture, fixtures, office equipment, vehicles, trucks, employees, appliances, equipment, tools, accessories, contingent rights or benefits, etc. pertaining to its De-merged Undertakings (collectively, the "De-merged Undertakings' Assets") as on the appointed date.

(b) All debts, liabilities, guarantees, assurances, commitments and obligations of any nature or description, whether fixed, contingent or absolute, asserted or un-asserted, matured or un-matured, liquidated or un-liquidated, accrued or not accrued, known or unknown, due or to become due, whenever or however arising, (including, without limitation, whether arising out of any contract or tort based on negligence or strict liability), or pertaining to the De-merged Undertakings' activities (collectively, "De-merged Undertakings' Liabilities").

(c) All contracts, agreements, licenses, leases, linkages, memoranda of undertakings, memoranda of agreement, memoranda of agreed points, letters of agreed points, arrangements, undertakings, whether written or otherwise, deeds, bonds, schemes, arrangements, sales orders, purchase orders or other instruments of whatsoever nature to which the De-merged Company is a party, exclusively relating to the undertaking, business, activities and operations pertaining to the

For AKAR HR Management Pvt. Ltd. AKAR BROKERS PRIVATE LIMITED AKAR FARE COLLECTION PRIVATE LIMITED

(Director) DIRECTOR DIRECTOR

respective De-merged Undertaking or otherwise identified to be for the exclusive benefit of the same, including but not limited to the relevant licenses, water supply/environment approvals and all other rights and approvals, electricity permits, telephone connections, building and parking rights, pending applications for consents or extension, all incentives, tax benefits, deferrals, subsidies, concessions, benefits, grants, rights, claims, liberties, special status and privileges enjoyed or conferred upon or held or availed of by the De-merged Company in relation to its respective De-merged Undertakings, permits, quotas, consents, registrations, lease, tenancy rights in relation to offices and residential properties, permissions, incentives, if any, in relation to its respective De-merged Undertakings and all other rights, title, interests, privileges and benefits of every kind in relation to its respective De-merged Undertakings (collectively referred to as the "De-merged Undertakings' Contracts").

(d) All permits, licenses, consents, approvals, authorizations, quotas, rights, entitlements, allotments, concessions, exemptions, liberties, advantages, no objection certificates, certifications, easements, tenancies, privileges and similar rights, and any waiver of the foregoing, issued by any legislative, executive or judicial unit of any Governmental or semi-Governmental entity or any department, commission, board, agency, bureau, official or other regulatory, local, administrative or judicial authority exclusively used or held for use by the De-merged Company in the undertaking, business, activities and operations pertaining to the respective De-merged Undertakings (collectively referred to as the "De-merged Undertakings' Licenses").

(e) All the employees of the De-merged Company, permanent employees and personnel engaged on contract basis and contract labourers and interns/trainees, as are primarily engaged in or in relation to the respective De-merged Undertakings, business, activities and operations pertaining to the respective De-merged Undertakings, at its respective offices, branches, etc. and any other employees/personnel and contract labourers and interns/trainees hired by the De-merged Company after the date hereof who are exclusively engaged in or in relation to the respective De-merged Undertakings, business, activities and operations pertaining to the respective De-merged Undertakings (collectively referred to as the "De-merged Undertakings' Employees").

(f) All liabilities present and future (including contingent liabilities pertaining to or relatable to the De-merged Undertakings of the De-merged Company), as may be determined by the Board of the De-merged Company.

(g) All deposits and balances with Government, Semi-Government, local and other authorities and bodies (including MSEB deposit) including all tax balances

For AKAR HR Management Pvt. Ltd. AKAR FARES PRIVATE LIMITED AKAR FARE COLLECTION PRIVATE LIMITED

(Director) DIRECTOR DIRECTOR

(excluding such tax credits which cannot be transferred), if any, any advantages, subsidies, grants, tax credits, sales tax, value added tax, excise duty, service tax, GST (including CGST, SGST, UTGST and IGST) deferred tax benefits and other tax benefits or any other balances with any tax authority or statutory body pertaining to the respective De-merged Undertakings, customers and other persons, earnest monies and/or security deposits paid or received by the De-merged Company, directly or indirectly in connection with or in relation to the respective De-merged Undertakings of the De-merged Company.

(h) All statutory dues to government authorities, including but not limited to Income tax and GST dues, pending litigations, etc. in respect of the respective De-merged Undertakings.

(i) All books, records, files, papers (whether in physical or electronic form), directly or indirectly relating to the respective De-merged Undertakings of the De-merged Company but shall not include any portion of the remaining business of the De-merged Company.

(j) Without prejudice to the generality of the above sub-clauses, the De-merged Undertakings shall also include but not limited to the reserves, movable and immovable properties, assets, including lease-hold rights, tenancy rights, bids, projects, tenders, letters of intent, memorandum of understanding, membership, bank accounts, industrial and other licenses, type test certificates and works experience of De-mergedCompany, permits, authorizations, quota rights, trade names, description, trading style, franchisee, labels, label designs, colour schemes, utility models, holograms, bar codes, designs, trade-marks, patents, copy rights, privileges and any rights, title or interest in intellectual property rights, powers, facilities of every kind and descriptions of whatsoever nature, import quotas, telephones, telex, facsimile and other communication facilities and equipment, benefits under tax laws, rights and benefits of all agreements and all other interests, rights and powers of every kind, nature and description whatsoever, privileges, liberties, easements, advantages, benefits, approvals, registrations, licenses, permissions, authorizations, under any law for the time being in force of the Broking Division and the Fare Collection Division of the De-merged Company.

(k) Any other asset/liability which is deemed to be pertaining to the respective De-merged Undertakings by the Board of the De-merged Company.

Any question that may arise as to whether a specific asset or liability pertains or does not pertain to the De-merged Undertaking or whether it arises out of the activities or operations of that De-merged Undertaking shall be decided by

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR BROKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

mutual agreement between the Board of the De-merged Company and the Resulting Companies.

In this scheme, unless the context otherwise requires:

- words denoting singular shall include plural and vice-versa;
- headings and bold typeface are only for convenience and shall be ignored for the purposes of interpretation;
- references to the word "include" or "including" shall be construed without limitation;
- a reference to an article, clause, section, paragraph or schedule is, unless indicated to the contrary, a reference to an article, clause, section, paragraph or schedule of this Scheme;
- unless otherwise defined, the reference to the word "days" shall mean calendar days;
- reference to a document includes an amendment or supplement to, or replacement or novation of, that document; and
- word(s) and expression(s) elsewhere defined in this Scheme will have the meaning(s) respectively ascribed to them.

2. DATE OF TAKING EFFECT AND OPERATIVE DATE

This Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the NCLT or made as per Clause 18of the Scheme shall be effective from the Appointed Date but shall be operative from the Effective date. Reference in this Scheme to the "date of coming into effect of this Scheme" or "upon the Scheme being effective" shall mean Effective Date.

3. SHARE CAPITAL

3.1 The Share Capital structure of **Akar HR Management Private Limited–De-merged Companyas** per the audited balance sheet as on 31st March, 2022and Unaudited Provisional Financial Statement for the year ended as on 15th June, 2022 is as under:-

Particulars	Amount in Rs.
Authorized:	
1,00,000 Equity Shares of Rs. 10/- each	10,00,000
Total	**10,00,000**
Issued, Subscribed and Paid-up:	
1,00,000 Equity Shares of Rs. 10/- each	10,00,000
Total	**10,00,000**

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED DIRECTOR

Subsequent to the Appointed Date and till the date of this Scheme being approved by the Board of Directors of Akar HR, there has been no change in its authorised, issued, subscribed and paid-up share capital.

3.2 The Share Capital structure of **Akar Brokers Private Limited –Resulting Company No. 1**as per the provisional balance sheet as on 15th June, 2022 is as under: -

Particulars	**Amount in Rs.**
Authorized:	
1,50,000 Equity Shares of Rs. 10/- each	15,00,000
Total	**15,00,000**
Issued, Subscribed and Paid-up:	
1,50,000 Equity Shares of Rs. 10/- each	15,00,000
Total	**15,00,000**

Subsequent to the Appointed Date and till the date of this Scheme being approved by the Board of Directors of Akar Brokers, there has been no change in its authorised, issued, subscribed and paid-up share capital.

3.3 The Share Capital structure of **Akar Fare Collection Private Limited – Resulting Company No. 2**as per the provisional balance sheet as on 15th June, 2022 is as under: -

Particulars	**Amount in Rs.**
Authorized:	
1,50,000 Equity Shares of Rs. 10/- each	15,00,000
Total	**15,00,000**
Issued, Subscribed and Paid-up:	
1,50,000 Equity Shares of Rs. 10/- each	15,00,000
Total	**15,00,000**

Subsequent to the Appointed Date and till the date of this Scheme being approved by the Board of Directors of Akar Fare, there has been no change in its authorised, issued, subscribed and paid-up share capital.

PART – B

TRANSFER AND VESTING OF THE DE-MERGED UNDERTAKINGS FROM THE DE-MERGED COMPANY INTO RESPECTIVE RESULTING COMPANIES AND REORGANISATION OF SHARE CAPITAL OF THE

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED DIRECTOR

COMPANIES AND AMENDMENTS IN THE MEMORANDUM AND ARTICLES OF ASSOCIATION

DE-MERGER OF BROKING DIVISON AND FARE COLLECTION DIVISION INTO RESPECTIVE RESULTING COMPANIES

I – BROKING DIVISION

4. TRANSFER AND VESTING OF BROKING DIVISION OF DE-MERGEDCOMPANY INTO RESULTING COMPANY NO. 1

4.1 Upon the coming into effect of this Scheme, and with effect from the Appointed Date, the whole of the Broking Division including the estate, assets, rights, claims, title, interest and authorities (including accretions) and liabilities of the De-merged Undertaking as defined under Clause 1.25, shall, under the provisions of Sections 230 to 232 of the Companies Act, 2013 and Rules made thereunder, without any further act, instrument deed, matter or thing stand transferred and vested in and/or deemed to be transferred and vested in the Resulting Company No.1, as a going concern, so as to vest all the rights, title and interest pertaining to the De-merged Undertaking viz. Broking Division in the Resulting Company No. 1 by the virtue of and in the manner as provided in the scheme.

4.2 Upon the coming into effect of this Scheme, and with effect from the Appointed Date, all assets (including intangible assets) and properties pertaining to the De-merged Undertaking viz. Broking Division which are movable in nature or incorporeal property or otherwise capable of transfer by delivery of possession or by endorsement and/or delivery, the same shall stand so transferred by the De-merged Company upon the coming into effect of the Scheme, to the end and intent that the rights, titles, interest and property therein passes to the Resulting Company No. 1 and shall, become the assets and property of Resulting Company No. 1 with effect from the Appointed Date pursuant to the provisions of Sections 230 to 232 of the Act, without requiring any deed or instrument of conveyance for transfer of the same. No additional stamp duty shall be payable on the transfer of such movable properties, upon its transfer and vesting in the Resulting Company No. 1.

4.3 Upon the coming into effect of this Scheme, and with effect from the Appointed Date, other assets pertaining to the De-merged Undertaking viz. Broking Division including actionable claims, sundry debtors, outstanding loans, advances, recoverable in cash or kind or for value to be received and deposits/bonds with the government, semi-government, local and other

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

authorities and bodies, customers or any other person, the same shall, without any further act, instrument or deed, be transferred and vested in the Resulting Company No. 1 on the Effective Date pursuant to the provisions of Sections 230 to 232 and all other applicable provisions, if any, of the Act, with effect from the Appointed Date by operation of law. The Resulting Company No. 1 shall, at its sole discretion but without being obliged, give notice in such form as it may deem fit and proper, to such person, as the case may be, that the said debt, receivable, bill, credit, loan, advance or deposit stands transferred to and vested in the Resulting Company No. 1 and that appropriate modification should be made in their respective books/records to reflect the aforesaid changes.

4.4 Upon the coming into effect of this Scheme, and with effect from the Appointed Date, those assets belonging to the De-merged Undertaking viz. Broking Division other than those referred to in Clauses (4.1) to (4.3) above, the same shall be transferred to and vested in and/or deemed to be transferred to and vested in the Resulting Company No. 1 on the Appointed Date pursuant to the provisions of Sections 230 to 232 of the Act.

4.5 Without prejudice to the generality of the foregoing, upon the coming into effect of this Scheme, the immovable property, if any, required by the De-merged Undertaking viz. Broking Division shall be provided to the Resulting Company No. 1 on a leave and license basis.

4.6 Upon the coming into effect of this Scheme and with effect from the Appointed Date, and subject to the provisions of the Scheme, all debts, loans and liabilities (including contingent liabilities), duties and obligations pertaining to the De-merged Undertaking viz. Broking Division of the De-merged Company, pursuant to the provisions of Sections 230 to 232 of the Companies Act, 2013 and the rules made thereunder and the applicable laws so as to become as and from the Appointed Date, the debts, loans and liabilities (including contingent liabilities), duties and obligations of the Resulting Company No. 1.

4.7 Upon the coming into effect of this Scheme and with effect from the Appointed Date, all taxes paid (including advance tax), taxes refund due or receivable, carried forward losses, unabsorbed depreciation, capital losses, pending balances of amortizations, any tax credit available (including GST Credit, other tax credits) etc., including application for rectification, appeals filed with tax authorities pertaining to the De-merged Undertaking viz. Broking Division of the De-merged Company shall also, pursuant to the provisions of Sections 230 to 232 of the Act, and other applicable provisions of the Act and Applicable Laws

without any further act or deed, be transferred or be deemed to be transferred to the Resulting Company No. 1, so as to become as and from the Appointed Date the taxes paid, taxes refund due or receivable (whether as per Books or as per Income Tax) of the Resulting Company No. 1.

4.8 Upon the coming into effect of this Scheme and with effect from the Appointed Date, all the employees of the De-merged Undertaking viz. Broking Division, as identified by the Board of Directors of De-merged Company on the effective date, shall without any further act or deed, be transferred and vested in or be deemed to be transferred and vested in the Resulting Company No. 1, pursuant to the provisions of Sections 230 to 232 of the Act and the rules made thereunder, and Applicable Laws, and further it shall not be necessary to obtain consent of the employees, in order to give effect to the Provisions of this sub clause.

4.9 Without prejudice to the other provisions of this Scheme and notwithstanding the fact that vesting of the De-merged Undertaking viz. Broking Division occurs by virtue of this Scheme itself, the Resulting Company No. 1, may, at any time after coming into effect of this scheme in accordance with the provisions hereof, if so required under any law or otherwise, take such actions and execute such deeds (including deeds of adherence) confirmations, or other writings or tripartite arrangements with any party to any contract or arrangement to which the De-merged Company is a party or any writings as may be necessary, in order to give formal effect to the provisions of this Scheme. The Resulting Company No. 1 shall be deemed to be authorised to execute any such writing on behalf of De-merged Company and to carry out or perform all such formalities or compliances, referred to above, on part of the De-merged Company to be carried or performed.

4.10 For the avoidance of doubt and without prejudice to the foregoing, it is clarified that upon coming into effect of this Scheme, all consents, permissions, licenses, approvals, certificates, clearances, authorities, leases, tenancy, assignments, allotments, power of attorney given by, claims, powers, authorities, allotments, approvals, consents, contracts (including customer and supplier contracts), enactments, arrangements, rights, titles, interests, benefits, advantages, leasehold rights and tenancies, and other intangible rights, copyrights, brands, intellectual property, hire purchase contracts and assets, lending contracts, employment contracts, distribution contracts, clearing and forwarding agency contracts, benefit of any security arrangements, reversions, permits, quotas, entitlements, registrations, licenses, (industrial or otherwise), registrations, under the

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR INDUSTRIES PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

applicable laws, municipal/local permissions, etc., issued to or executed in favour of De-merged Company shall stand vested to the extent it relates to and pertains to De-merged Undertaking viz. Broking Division, to the Resulting Company No. 1 in which De-merged Undertaking viz. Broking Division shall vest by way of De-merger hereunder, as if the same was originally given by, issued to or executed in favour of the Resulting Company No. 1 and the Resulting Company No. 1 shall be bound by the terms thereof, the obligations and duties there under, and the rights and benefits under the same shall be available to the Resulting Company No. 1. The Resulting Company No. 1 shall make application(s) to and obtain relevant approval(s), etc. from the concerned authorities and/or parties as may be necessary in this behalf and the De-merged Company shall cooperate and provide the required support wherever required.

4.11 It is clarified that if any assets (estate, claims, rights, title, interest in or authorities relating to such assets) or any contracts, deeds, bonds, agreements, schemes, arrangements or other instruments of whatsoever nature in relation to the De-merged Undertaking viz. Broking Division, which the De-merged Company owns or to which the De-merged Company is a party and which cannot be transferred and vested in the Resulting Company No. 1 for any reason whatsoever, the De-merged Company shall hold such assets, etc. in trust for the benefit of the Resulting Company No. 1 to which the De-merged Undertaking viz. Broking Division is being vested in terms of this Scheme, in so far as it is permissible to do so, till such time as the vesting is effected and till such time the Resulting Company No. 1 shall be entitled to utilise, operate, avail the same for the De-merged Undertaking viz. Broking Division's activities without any consideration.

4.12 It is clarified that if any contracts, agreements or any other facility of whatsoever nature which is owned by the De-merged Company and is shared by the De-merged Undertaking viz. Broking Division, and which cannot be transferred and vested or separately entered with the Resulting Company No. 1 for any reason whatsoever, the De-merged Company shall share such contract, agreement or any other facility, if any, with the Resulting Company No. 1 and the Resulting Company No. 1 shall be entitled to utilise, operate, avail the same for the De-merged Undertaking viz. Broking Division's activities at cost and subject to such terms as may be mutually agreed between the Resulting Company No. 1 and De-merged Company.

For AKAR HR Management Pvt. Ltd. AKAR BROKERS PRIVATE LIMITED AKAR FARE COLLECTION PRIVATE LIMITED

(Director) DIRECTOR DIRECTOR

4.13 The transfer and vesting of the De-merged Undertaking viz. Broking Division as aforesaid shall be subject to the existing securities, charges, mortgages and other encumbrances, if any, subsisting over or in respect of the property and assets or any part thereof relatable to the De-merged Undertaking viz. Broking Division to the extent such securities, charges, mortgages, encumbrances are created to secure the liabilities forming part of the De-merged Undertaking viz. Broking Division on the same terms and conditions as applicable, provided however that any such charge, mortgage or encumbrance shall not extend to any existing asset owned or held by the Resulting Company No. 1.

4.14 Where any of the debts, liabilities (including contingent liabilities), loans raised and used, liabilities and obligations incurred, duties and obligations of the De-merged Undertaking viz. Broking Division of the De-merged Company as on the Appointed Date deemed to be transferred and vested in the Resulting Company No. 1 have been discharged by the De-merged Company after the Appointed Date and prior to Effective Date, such discharge shall be deemed to have been for and on account of the Resulting Company No. 1.

4.15 All loans raised and used and all liabilities and obligations incurred by De-merged Company for the operations of De-merged Undertaking viz. Broking Division after the Appointed Date and prior to the Effective Date, shall, subject to the terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of the Resulting Company No. 1 in which the De-merged Undertaking viz. Broking Division shall vest in terms of this Scheme and to the extent they are outstanding on the Effective Date, shall also without any further act or deed be and stand transferred and vested in and be deemed to be transferred and vested in the Resulting Company No. 1 and shall become the debts, liabilities duties and obligations of the Resulting Company No. 1 which shall meet, discharge and satisfy the same.

4.16 Without prejudice to the provisions of the foregoing clauses and upon effectiveness of this Scheme, the De-merged Company and Resulting Company No. 1 shall execute such instruments or documents or do all the acts and deeds as may be required, including the filing of necessary particulars and/or modification(s) of charge, with the relevant regulatory authority and Governmental Authorities to give formal effect the above provisions, if required.

4.17 For avoidance of doubt and without prejudice to generality of the applicable provisions of the Scheme, it is clarified that with effect from the Effective Date and till such time that the name in the bank accounts pertaining to the De-merged

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(Director)

AKAR PROVERS PRIVATE LIMITED
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AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

Undertaking viz. Broking Division have been replaced with that of the Resulting Company No. 1, the Resulting Company No. 1 shall be entitled to operate the bank accounts pertaining to the De-merged Undertaking viz. Broking Division in the name of De-merged Company in so far as may be necessary. All cheques and other negotiable instruments, payment orders received or presented for encashment pertaining to the De-merged Undertaking viz. Broking Division which are in the name of De-merged Company after the Effective Date shall be accepted by the bankers of the Resulting Company No, 1 and credited to the account of the Resulting Company No. 1, if presented by the Resulting Company No. 1. The Resulting Company No. 1 shall be allowed to maintain bank accounts pertaining to the De-mergedUndertaking viz. Broking Division in the name of the De-merged Company for such time as may be determined to be necessary by the Resulting Company No. 1 for presentation of deposition of cheques and pay orders that have been issued in the name of the De-merged Company. It is hereby expressly clarified that any legal proceedings by or against the De-merged Company pertaining to the De-merged Undertaking viz. Broking Division's cheques and other negotiable instruments, payments order received or presented for encashment which are in the name of De-merged Company shall be instituted, or as the case may be, continued by or against the Resulting Company No. 1 after the coming into effect of the Scheme.

4.18 It is hereby clarified that, any amount including refund under the Tax laws pertaining to the De-merged Undertaking viz. Broking Division due to De-merged Company consequent to the assessment proceedings or otherwise and which may not have been received by the De-merged Company as on the date immediately preceding the Appointed date shall also belong to and be receivable by Resulting Company No. 1 upon the Scheme being effective.

4.19 Upon the coming into effect of this Scheme, the De-merged Company alone shall be liable to perform all obligations in respect of the liabilities as on the Appointed Date, which have not been vested in the Resulting Company No. 1 in terms of the Scheme, and the De-merged Company alone shall have all obligations in respect of such liabilities, and the De-merged Company shall indemnify the Resulting Company No. 1 in relation to any claim, at any time, against the Resulting Company No. 1 in respect of the liabilities which have been retained by De-merged Company.

4.20 Subject to the necessary consents being obtained in accordance with the terms of this Scheme, the provisions of the Clause 4 shall operate, notwithstanding

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anything to the contrary contained in any instrument, deed or writing or the terms of sanction or issue or any security document, all of which instruments, deeds or writings shall stand modified and/or superseded by the foregoing provisions with effect from the Appointed Date or such other date as is specified herein above, as the case may be.

II – FARE COLLECTION DIVISION

5. TRANSFER AND VESTING OF FARE COLLECTION DIVISION OF DE-MERGED COMPANY INTO RESULTING COMPANY NO. 2

5.1 Upon the coming into effect of this Scheme, and with effect from the Appointed Date, the whole of the Fare CollectionDivision including the estate, assets, rights, claims, title, interest and authorities (including accretions) and liabilities of the De-merged Undertaking as defined under Clause 1.25, shall, under the provisions of Sections 230 to 232 of Companies Act, 2013 and rules made thereunder, without any further act, instrument deed, matter or thing stand transferred and vested in and/or deemed to be transferred and vested in the Resulting Company No. 2, as a going concern, so as to vest all the rights, title and interest pertaining to the De-merged Undertaking viz. Fare Collection Division in the Resulting Company No. 2 by the virtue of and in the manner as provided in the scheme.

5.2 Upon the coming into effect of this Scheme, and with effect from the Appointed Date, all assets (including intangible assets) and properties pertaining to the De-merged Undertaking viz. Fare Collection Division which are movable in nature or incorporeal property or otherwise capable of transfer by delivery of possession or by endorsement and/or delivery, the same shall stand so transferred by the De-merged Company upon the coming into effect of the Scheme, to the end and intent that the rights, titles, interest and property therein passes to the Resulting Company No. 2 and shall, become the assets and property of Resulting Company No. 2 with effect from the Appointed Date pursuant to the provisions of Sections 230 to 232 of the Act, without requiring any deed or instrument of conveyance for transfer of the same. No additional stamp duty shall be payable on the transfer of such movable properties, upon its transfer and vesting in the Resulting Company No. 2.

5.3 Upon the coming into effect of this Scheme, and with effect from the Appointed Date, other assets pertaining to the De-merged Undertaking viz. Fare Collection Division including actionable claims, sundry debtors, outstanding loans, advances, recoverable in cash or kind or for value to be received and

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(Director) DIRECTOR
AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

deposits/bonds with the government, semi-government, local and other authorities and bodies, customers or any other person, the same shall, without any further act, instrument or deed, be transferred and vested in the Resulting Company No. 2 on the Effective Date pursuant to the provisions of Sections 230 to 232 and all other applicable provisions, if any, of the Act, with effect from the Appointed Date by operation of law. The Resulting Company No. 2 shall, at its sole discretion but without being obliged, give notice in such form as it may deem fit and proper, to such person, as the case may be, that the said debt, receivable, bill, credit, loan, advance or deposit stands transferred to and vested in the Resulting Company No. 2 and that appropriate modification should be made in their respective books/records to reflect the aforesaid changes.

5.4 Upon the coming into effect of this Scheme, and with effect from the Appointed Date, those assets belonging to the De-merged Undertaking viz. Fare Collection Division other than those referred to in Clauses (5.1) to (5.3) above, the same shall be transferred to and vested in and/or deemed to be transferred to and vested in Resulting Company No. 2 on the Appointed Date pursuant to the provisions of Sections 230 to 232 of the Act.

5.5 Without prejudice to the generality of the foregoing, upon the coming into effect of this Scheme, the immovable property, if any, required by the De-merged Undertaking viz. Fare Collection Division shall be provided to the Resulting Company No. 2 on a leave and license basis.

5.6 Upon the coming into effect of this Scheme and with effect from the Appointed Date, and subject to the provisions of the Scheme, all debts, loans and liabilities (including contingent liabilities), duties and obligations pertaining to the De-merged Undertaking viz. Fare Collection Division of the De-merged Company, pursuant to the provisions of Sections 230 to 232 of the Companies Act, 2013 and the rules made thereunder and the applicable laws so as to become as and from the Appointed Date, the debts, loans and liabilities (including contingent liabilities), duties and obligations of the Resulting Company No. 2.

5.7 Upon the coming into effect of this Scheme and with effect from the Appointed Date, all taxes paid (including advance tax), taxes refund due or receivable, carried forward losses, unabsorbed depreciation, capital losses, pending balances of amortizations, any tax credit available (including GST Credit, other tax credits) etc., including application for rectification, appeals filed with tax authorities pertaining to the De-merged Undertaking viz. Fare Collection Division of the De-merged Company shall also, pursuant to the provisions of

Sections 230 to 232 of the Act, and other applicable provisions of the Act, and Applicable Laws without any further act or deed, be transferred or be deemed to be transferred to the Resulting Company No. 2, so as to become as and from the Appointed Date the taxes paid, taxes refund due or receivable (whether as per Books or as per Income Tax) of the Resulting Company No. 2.

5.8 Upon the coming into effect of this Scheme and with effect from the Appointed Date, all the employees of the De-merged Undertaking viz. Fare Collection Division, as identified by the Board of Directors of De-merged Company on the effective date, shall without any further act or deed, be transferred and vested in or be deemed to be transferred and vested in the Resulting Company No. 1, pursuant to the provisions of Sections 230 to 232 of the Act and the rules made thereunder, and Applicable Laws, and further it shall not be necessary to obtain consent of the employees, in order to give effect to the Provisions of this sub clause.

5.9 Without prejudice to the other provisions of this Scheme and notwithstanding the fact that vesting of the De-merged Undertaking viz. Fare Collection Division occurs by virtue of this Scheme itself, the Resulting Company No. 2, may, at any time after coming into effect of this scheme in accordance with the provisions hereof, if so required under any law or otherwise, take such actions and execute such deeds (including deeds of adherence) confirmations, or other writings or tripartite arrangements with any party to any contract or arrangement to which the De-merged Company is a party or any writings as may be necessary, in order to give formal effect to the provisions of this Scheme. The Resulting Company No. 2 shall be deemed to be authorised to execute any such writing on behalf of De-merged Company and to carry out or perform all such formalities or compliances, referred to above, on part of the De-merged Company to be carried or performed.

5.10 For the avoidance of doubt and without prejudice to the foregoing, it is clarified that upon coming into effect of this Scheme, all consents, permissions, licenses, approvals, certificates, clearances, authorities, leases, tenancy, assignments, allotments, power of attorney given by, claims, powers, authorities, allotments, approvals, consents, contracts (including customer and supplier contracts), enactments, arrangements, rights, titles, interests, benefits, advantages, leasehold rights and tenancies, and other intangible rights, copyrights, brands, intellectual property, hire purchase contracts and assets, lending contracts, employment

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR BROKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

contracts, distribution contracts, clearing and forwarding agency contracts, benefit of any security arrangements, reversions, permits, quotas, entitlements, registrations, licenses, (industrial or otherwise), registrations, under the applicable laws, municipal/local permissions, etc., issued to or executed in favour of De-merged Company shall stand vested to the extent it relates to and pertains to De-merged Undertaking viz. Fare Collection Division, to the Resulting Company No. 2 in which De-merged Undertaking viz. Fare Collection Division shall vest by way of De-merger hereunder, as if the same was originally given by, issued to or executed in favour of the Resulting Company No. 2 and the Resulting Company No. 2 shall be bound by the terms thereof, the obligations and duties there under, and the rights and benefits under the same shall be available to the Resulting Company No. 2. The Resulting Company No. 2 shall make application(s) to and obtain relevant approval(s), etc. from the concerned authorities and/or parties as may be necessary in this behalf and the De-merged Company shall cooperate and provide the required support wherever required.

5.11 It is clarified that if any assets (estate, claims, rights, title, interest in or authorities relating to such assets) or any contracts, deeds, bonds, agreements, schemes, arrangements or other instruments of whatsoever nature in relation to the De-merged Undertaking viz. Fare Collection Division, which the De-merged Company owns or to which the De-merged Company is a party and which cannot be transferred and vested in the Resulting Company No. 2 for any reason whatsoever, the De-merged Company shall hold such assets, etc. in trust for the benefit of the Resulting Company No. 2 to which the De-merged Undertaking viz. Fare Collection Division is being vested in terms of this Scheme, in so far as it is permissible to do so, till such time as the vesting is effected and till such time the Resulting Company No. 2 shall be entitled to utilise, operate, avail the same for the De-merged Undertaking viz. Fare Collection Division's activities without any consideration.

5.12 It is clarified that if any contracts, agreements or any other facility of whatsoever nature which is owned by the De-merged Company and is shared by the De-merged Undertaking viz. Fare Collection Division, and which cannot be transferred and vested or separately entered with the Resulting Company No. 2 for any reason whatsoever, the De-merged Company shall share such contract, agreement or any other facility, if any, with the Resulting Company No. 2 and the Resulting Company No. 2 shall be entitled to utilise, operate, avail the same for the De-merged Undertaking viz. Fare Collection Division's activities at cost

For AKAR HR Management Pvt. Ltd.
(Director)

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DIRECTOR

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DIRECTOR

and subject to such terms as may be mutually agreed between the Resulting Company No. 2 and De-merged Company.

5.13 The transfer and vesting of the De-merged Undertaking viz. Fare Collection Division as aforesaid shall be subject to the existing securities, charges, mortgages and other encumbrances, if any, subsisting over or in respect of the property and assets or any part thereof relatable to the De-merged Undertaking viz. Fare Collection Division to the extent such securities, charges, mortgages, encumbrances are created to secure the liabilities forming part of the De-merged Undertaking viz. Fare Collection Division on the same terms and conditions as applicable, provided however that any such charge, mortgage or encumbrance shall not extend to any existing asset owned or held by the Resulting Company No. 2.

5.14 Where any of the debts, liabilities (including contingent liabilities), loans raised and used, liabilities and obligations incurred, duties and obligations of the De-merged Undertaking viz. Fare Collection Division of the De-merged Company as on the Appointed Date deemed to be transferred and vested in the Resulting Company No. 2 have been discharged by the De-merged Company after the Appointed Date and prior to Effective Date, such discharge shall be deemed to have been for and on account of the Resulting Company No. 2.

5.15 All loans raised and used and all liabilities and obligations incurred by De-merged Company for the operations of De-merged Undertaking viz. Fare Collection Division after the Appointed Date and prior to the Effective Date, shall, subject to the terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of the Resulting Company No. 2 in which the De-merged Undertaking viz. Fare Collection Division shall vest in terms of this Scheme and to the extent they are outstanding on the Effective Date, shall also without any further act or deed be and stand transferred and vested in and be deemed to be transferred and vested in the Resulting Company No. 2 and shall become the debts, liabilities duties and obligations of the Resulting Company No. 2 which shall meet, discharge and satisfy the same.

5.16 Without prejudice to the provisions of the foregoing clauses and upon effectiveness of this Scheme, the De-merged Company and Resulting Company No. 2 shall execute such instruments or documents or do all the acts and deeds as may be required, including the filing of necessary particulars and/or modification(s) of charge, with the relevant regulatory authority and Governmental Authorities to give formal effect the above provisions, if required.

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

5.17 For avoidance of doubt and without prejudice to generality of the applicable provisions of the Scheme, it is clarified that with effect from the Effective Date and till such time that the name in the bank accounts pertaining to the De-merged Undertaking viz. Fare Collection Division have been replaced with that of the Resulting Company No. 2, the Resulting Company No. 2 shall be entitled to operate the bank accounts pertaining to the De-merged Undertaking viz. Fare Collection Division in the name of De-merged Company in so far as may be necessary. All cheques and other negotiable instruments, payment orders received or presented for encashment pertaining to the De-merged Undertaking viz. Fare Collection Division which are in the name of De-merged Company after the Effective Date shall be accepted by the bankers of the Resulting Company No. 2 and credited to the account of the Resulting Company No. 2, if presented by the Resulting Company No. 2. The Resulting Company No. 2 shall be allowed to maintain bank accounts pertaining to the De-merged Undertaking viz. Fare Collection Division in the name of the De-merged Company for such time as may be determined to be necessary by the Resulting Company No. 2 for presentation of deposition of cheques and pay orders that have been issued in the name of the De-merged Company. It is hereby expressly clarified that any legal proceedings by or against the De-merged Company pertaining to the De-merged Undertaking viz. Fare Collection Division's cheques and other negotiable instruments, payments order received or presented for encashment which are in the name of De-merged Company shall be instituted, or as the case may be, continued by or against the Resulting Company No. 2 after the coming into effect of the Scheme.

5.18 It is hereby clarified that, any amount including refund under the tax laws pertaining to the De-merged Undertaking viz. Fare Collection Division due to De-merged Company consequent to the assessment proceedings or otherwise and which may not have been received by the De-merged Company as on the date immediately preceding the Appointed date shall also belong to and be receivable by Resulting Company No. 2 upon the Scheme being effective.

5.19 Upon the coming into effect of this Scheme, the De-merged Company alone shall be liable to perform all obligations in respect of the liabilities as on the Appointed Date, which have not been vested in the Resulting Company No. 2 in terms of the Scheme, and the De-merged Company alone shall have all obligations in respect of such liabilities, and the De-merged Company shall indemnify the Resulting Company No. 2 in relation to any claim, at any time

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED DIRECTOR

against the Resulting Company No. 2 in respect of the liabilities which have been retained by De-merged Company.

5.20 Subject to the necessary consents being obtained in accordance with the terms of this Scheme, the provisions of the Clause 5 shall operate, notwithstanding anything to the contrary contained in any instrument, deed or writing or the terms of sanction or issue or any security document, all of which instruments, deeds or writings shall stand modified and/or superseded by the foregoing provisions with effect from the Appointed Date or such other date as is specified herein above, as the case may be.

III – HR DIVISION OF THE DE-MERGED COMPANY

6. REMAINING UNDERTAKING

6.1 The remaining assets of the De-merged Company including immovable property, other assets, liabilities and employees which are not part of the De-merged Undertakings shall continue to belong to and be vested in and be managed by the De-merged Company.

6.2 If any suit, appeal or other proceeding of whatever nature by or against the De-merged Company under any statute, whether pending on the Appointed Date or which may be instituted at any time thereafter, and in each case relating to the Remaining Undertaking (including those relating to any property, right, power, liability, obligation or duties of the De-merged Company in relation to the Remaining Undertaking) shall be continued or enforced by or against the De-merged Company after the Effective Date. The Resulting Companies shall in any event not be responsible or liable in relation to any such legal, taxation or other proceeding against the De-merged Company, which relates to the Remaining Undertaking.

6.3 If proceedings are taken against the Resulting Companies in respect of the matters referred to in clause 6.2 above, it shall defend the same in accordance with the advice of the De-merged Company and at the cost of the De-merged Company, and the later shall reimburse and indemnify the Resulting Companies against all liabilities and obligations incurred by the respective Resulting Companies in respect thereof.

6.4 It is hereby clarified that the existing securities, charges, mortgages and other encumbrances, if any, subsisting over or in respect of the property and assets or any part thereof relatable to the Remaining Undertaking shall continue to secure

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

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the liabilities pertaining to the Remaining Undertaking on the same terms and conditions as applicable by the De-merged Company.

6.5 With effect from the Appointed Date and up to and including the Effective Date:

(i) The De-merged Company shall carry on and shall be deemed to have been carrying on all business and activities relating to the Remaining Undertaking for and on its own behalf.

(ii) All profits accruing to the De-merged Company thereon or losses arising or incurred by it (including effect of taxes, if any, thereon) relating to the Remaining Undertaking shall, for all purposes, be treated as the profits or losses, as the case may be, of the De-merged Company.

(iii) All assets and properties acquired by the De-merged Company in relation to the Remaining Undertaking on and after the Appointed Date shall belong to and continue to remain vested in the De-merged Company.

7. **VESTING AT BOOK VALUES**

On the Scheme being effective, with effect from the appointed date all the assets, properties and liabilities of the respective De-merged Undertakings shall be vested in the Resulting Company No. 1 and Resulting Company No. 2 respectively at the value appearing in the books of the De-merged Company.

8. **CONDUCT OF DE-MERGED UNDERTAKINGS OF DE-MERGED COMPANY TILL THE EFFECIVE DATE**

Upon the coming into effect of this Scheme and with effect from the Appointed Date:

8.1 The De-merged Company shall be deemed to have been carrying on and shall carry on its business and activities relating to the De-merged Undertakings and shall be deemed to have held and stood possessed of and shall hold and stand possessed of all its properties and assets pertaining to the De-mergedUndertakings for and on account of and in trust for the Resulting Companies. The De-merged Company hereby undertakes to hold its said assets with utmost prudence until the Effective Date.

8.2 The De-merged Company shall carry on its business and activities relating to the De-merged Undertakings with reasonable diligence, business prudence in the ordinary course of business.

8.3 Any of the rights, powers, authorities, privileges, attached, related or pertaining to the De-merged Undertakings exercised by the De-merged Company shall be

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(Director)

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

deemed to have been exercised by the De-merged Company for and on behalf of, and in trust for and as an agent of the Resulting Companies. Similarly, any of the obligations, duties and commitments attached, related or pertaining to the De-merged Undertakings that have been undertaken by the De-merged Company for and on behalf of as an agent for the Resulting Companies and the Resulting Companies shall undertake to meet, discharge and satisfy the same.

8.4 The De-merged Company shall not without prior written consent of the Resulting Companies undertake any additional financial commitments of any nature whatsoever, borrow any amount or incur any other liabilities or expenditure, issue any additional guarantees, indemnities, letters of comfort or commitment either for themselves or on behalf of its respective affiliates or associates or any third party, or alienate charge, mortgage, encumber or otherwise deal with or dispose off the De-merged Undertakings or part thereof.

8.5 All the profits or income accruing or arising to the De-merged Company or expenditure or losses arising or incurred or suffered by the De-merged Company pertaining to the De-merged Undertakings shall for all purposes be treated and be deemed to be accrued as the income or profits or losses or expenditure as the case may be of the Resulting Companies.

8.6 The Resulting Companies shall be entitled, pending the sanction of the Scheme, to apply to the Central/State Government and all other agencies, departments and authorities concerned as are necessary under any law or rules, for such consents, approvals, licenses and sanctions, which the Resulting Companies may require pursuant to this Scheme.

9. EMPLOYEES OF THE DE-MERGED COMPANY

9.1 On the Scheme becoming operative, all staff and employees as identified by the Board of Directors of the De-merged Company pertaining to the De-merged Undertakings in service on the Effective Date shall be deemed to have become staff and employees of the respective Resulting Companies without any break in their service and on the basis of continuity of service and on the same terms and conditions as those applicable to them with reference to their employment in the De-merged Company.

9.2 It is expressly provided that on the Scheme becoming effective, the Provident Fund, Gratuity Fund, Superannuation Fund or any other Special Fund or Trusts, if any, created or existing for the benefit of the staff and employees of the De-merged Company pertaining to the De-merged Undertakings or all purposes

For AKAR HR Management Pvt. Ltd. (Director)

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whatsoever in relation to the administration or operation of such Fund or Funds or in relation to the obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms provided in the respective Trust Deeds, if any, to the end and intent that all rights, duties, powers and obligations of the De-merged Company in relation to the De-merged Undertakings in relation to such Fund or Funds shall become those of the respective Resulting Companiesasif the Funds or Trusts are created by Resulting Companies in this regard. It is clarified that the services of the staff and employees of Resulting Companies pertaining to the De-merged Undertakings will be treated as having been continuous for the purpose of the said Fund or Funds.

9.3 The Resulting Companies shall not vary the terms and conditions of employment of any of the employees of the De-merged Company pertaining to the De-merged Undertakings except in the ordinary course of business or pursuant to any pre-existing obligation undertaken except with the written concurrence of the Resulting Companies.

10. <u>CONTRACTS, DEEDS, REGISTRATIONS, LICENSES, PERMISSIONS, AUTHORIZATIONS, PROJECTS, GUARANTEES, ASSURANCES, BONDS AND OTHER INSTRUMENTS, ETC. CONCERNINGTHE DE-MERGED UNDERTAKINGS *VIZ.*BROKING DIVISION ANDFARE COLLECTION DIVISION</u>

10.1 Subject to the provisions of this Scheme, all contracts, deeds,registrations, insurance, letter of intent, undertakings, arrangement, policies, licensesand works experience of De-mergedCompany, permissions, authorizations under any law for the time being in force, bonds, agreements, guarantees and other instruments, if any, of whatsoever nature pertaining to the De-merged Undertakings to which the De-mergedCompany is party, or to the benefit of which the De-mergedCompany may be eligible and which are subsisting or having effect immediately before or on the effective date and covered under Broking Division or Fare CollectionDivision, without any further act, instrument or deed, shall, remain in full force and effect against or in favour of the Resulting Company No.1 and Resulting Company No. 2 respectively, and may be enforced by or against the Resulting Company No.1 or Resulting Company No. 2 as fully and effectively as if, instead of the De-mergedCompany, the Resulting Company No.1 or Resulting Company No. 2 had been a party or beneficiary or oblige thereto. The Resulting Company No.1 and Resulting Company No. 2 shall enter into and/or issue or execute deeds, writings or confirmations in order to give

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(Director) DIRECTOR AKAR FARE COLLECTION PRIVATE LIMITED

DIRECTOR

formal effect to the provisions of this Clause, and to the extent that the De-mergedCompany is required, prior to the effective date, to join in any such deeds, writings or confirmations, the Resulting Company No.1 and Resulting Company No. 2 shall be entitled to act for and on behalf of and in the name of the De-mergedCompany.

10.2 For the avoidance of doubt and without prejudice to the generality of the foregoing, it is clarified that upon the coming into effect of this Scheme, all consents, permissions, licenses, registrations, certificates, clearances, authorities, power of attorney given by, issued to or executed in favour of the De-merged Company in relation to the De-merged Undertakings shall stand transferred to the respective Resulting Companies, as if the same were originally given by, issued to or executed in favour of that Resulting Company and Resulting Companies shall be bound by the terms thereof, the obligations and duties there under, and the rights and benefits under the same shall be available to the Resulting Companies. The Resulting Companies shall make necessary application(s) and do all such acts or things which may be necessary to obtain relevant approvals from the concerned Governmental Authorities as may be necessary in this behalf.

10.3 The benefits of all the permits pertaining to the De-merged Undertakings shall without any other order to this effect, transfer and vest into and become available to the Resulting Companies pursuant to the Sanction of this Scheme.

10.4 The Resulting Companies shall enter into and/or issue and/or execute deeds, writings or confirmations or enter into any tripartite arrangements, confirmations or novation or amendments, to which the De-merged Company will, if necessary, also be party in order to give formal effect to the provisions of this Scheme. The Resulting Companies shall be deemed to be authorised to execute any such deeds, writings or confirmations on behalf of the De-merged Company for the De-merged Undertakings and to implement or carry out all formalities required to give effect to the provisions of this Scheme.

10.5 Upon this Scheme becoming effective, the rights, benefits, privileges, duties, liabilities, obligations and interest whatsoever, arising from or pertaining to contracts and properties relating to the De-merged Undertakings, shall be deemed to have been entered into and stand assigned, vested and novated to the respective Resulting Companies by operation of law and the Resulting Companies shall be deemed to be the De-merged Company's substituted party or beneficiary or obligor thereto, it being always understood that the Resulting

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(Director)

For AKAR PROPERTIES INFRA PRIVATE LIMITED
DIRECTOR

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DIRECTOR

Companies shall be the successor in interest of the De-merged Company in relation to the properties or rights mentioned hereinabove.

10.6 On and from the Effective Date, and thereafter, the Resulting Companies shall be entitled to enforce all pending contracts and transactions and issue credit notes on behalf of the De-merged Company, in relation to or in connection with the De-merged Undertakings, in the name of the respective Resulting Companies in so far as it may be necessary until the transfer of rights and obligations of the De-merged Undertakings to the respective Resulting Companies under this Scheme have been given effect to under such contracts and transactions.

10.7 With effect from the Appointed Date, all rights and licenses relating to trade marks, know-how, technical data, technical credentials and certificates,financial credentials, trade names, description, trading style, franchisee, labels, label designs, colour schemes, utility models, holograms, bar codes, designs, patents, copyrights, privileges and any rights, title or interest in intellectual property rights, powers, facilities of every kind and descriptions of whatsoever nature in relation to the De-mergedCompany or to which the De-mergedCompany is a party or to the benefit of which the De-merged Company may be entitled/eligibleand which are subsisting or have effect immediately before the Appointed Date, shall be in full force and effect on, or against, or in favour of the De-mergedUndertakings and may be enforced as fully and effectually as if, instead of the De-merged Company, the Resulting Company No.1 and/or the Resulting Company No.2 had been a party or beneficiary or oblige thereto.

10.8 On the Scheme coming into effect, the Resulting Company No.1 and Resulting Company No. 2 shall be entitled to use the turnover, experience,balance sheet and profit and loss account of the De-merged Company as its own for participation in new tenders as if the De-mergedCompany itself is continuing the Broking Division andFare CollectionDivision.

11. LEGALPROCEEDINGS

11.1 If any suit, appeal or other proceeding of whatever nature by or against the De-merged Company in relation to the De-merged Undertakings is pending or arising on or before appointed date, the same shall not abate or be discontinued or in any way be prejudicially affected by reason of, or by anything contained in this Scheme, but the said suit, appeal or other legal proceedings may be continued, prosecuted and enforced by or against the respective Resulting Companies, as the case may be, in the same manner and to the same extent as it would or might have been continued, prosecuted and enforced by or against the

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED DIRECTOR

De-merged Company in relation to the De-merged Undertakings, as if this Scheme had not been made. Except otherwise provided herein, the De-merged Company shall not be responsible or liable in relation to any such legal or other proceeding that stand transferred to the Resulting Companies.

11.2 In case of any litigation, suits, recovery proceedings which are to be initiated or may be initiated against the De-merged Company in relation to the De-merged Undertakings, the respective Resulting Companies shall be made party thereto and any payment and expenses made thereto shall be the liability of the respective Resulting Companies. Both the companies shall make relevant applications and take all the necessary steps as required in this regard.

12. SAVING FROM CONCLUDED CONTRACTS

The transfer and vesting of the De-merged Undertakings of the De-merged Company into the respective Resulting Companies under Clauses 4 and 5 above and the continuance of proceedings by or against the respective Resulting Companies under Clause 11 above shall not affect any transaction or proceedings already concluded by the De-merged Company for the De-merged Undertakings on or after the Appointed Date till the Effective Date, to the end and intent that the Resulting Companies accept and adopts all acts, deeds and things done and executed by the De-merged Company for the De-merged Undertakings in respect thereto as done and executed on behalf of the Resulting Companies.

13. REORGANISATION OF SHARE CAPITAL OF THE COMPANIES AND AMENDMENTS IN THE MEMORANDUM AND ARTICLES OF ASSOCIATION

13.1 Reduction of Share Capital of the De-merged Company:

(a) Under and in consideration of the provisions of this Scheme and as an integral part thereof issued, subscribed and paid up share capital of the De-merged Company shall stand reduced, restructured and reorganized in the manner set out under the below mentioned clauses and the provisions of this clause shall operate notwithstanding anything to the contrary in any other instrument, deed or writing.

(b) Upon the Scheme being effective and as a consequence of transfer of the Broking Division and Fare Collection Division from the De-merged Company and issue of shares by the Resulting Companies to the shareholders of the De-merged Company in consideration of the transfer of De-merged Undertakings, the issued, subscribed and paid up share capital of the De-merged Company shall stand reduced from Rs.10,00,000/- (Rupees Ten Lakhs only) divided into 1,00,000

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

(One Lakh) Equity Shares of Rs. 10/- (Rupees Ten only) each to Rs.1,70,000/- (Rupees One Lakh Seventy Thousand only) divided into 17,000 (Seventeen Thousand) Equity Shares of Rs. 10/- (Rupees Ten only) each.

(c) Upon the Scheme being effective, the Authorized Share Capital of the De-merged Company shall stand transferred to the respective Resulting Companies without any further act, instrument or deed and without payment of any fees, stamp duty, etc. as a consequence of transfer of the Broking Division and Fare Collection Division from the De-merged Company and issue of shares by the respective Resulting Companies to the shareholders of the De-merged Company in consideration of the transfer of De-merged Undertaking, the authorized share capital of the De-merged Company shall stand reduced from Rs.10,00,000/- (Rupees Ten Lakhs only) divided into 1,00,000 (One Lakh) Equity Shares of Rs.10/- (Rupees Ten only) each to Rs.1,70,000/- (Rupees One Lakh Seventy Thousand only) divided into 17,000 (Seventeen Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each and the remaining capital consisting of 83,000 (Eighty Three Thousand) Equity Shares of Rs. 10/- (Rupees Ten only) each shall be divided between and transferred to the respective Resulting Companies as their authorized share capital in the manner provided in the Scheme.

(d) Upon the Scheme being effective and as a consequence of transfer of the De-merged Undertakings, the issued, subscribed and paid up Equity Share Capital of the De-merged Company shall stand reduced to the extent of 83% of the Share Capital and each equity shareholder of the De-merged Company shall continue to hold 83 Equity Shares of Rs. 10/- each against each 100 Equity Shares of Rs.10/- each in the De-merged Company, the fractions, if any, shall be rounded-off to the nearest integer and dealt with in accordance with the Scheme.

(e) Upon the Scheme being effective and as a consequence of the reduction, the Paid up Share Capital of the De-merged Company shall become 17,000 (Seventeen Thousand) Equity Shares of Rs. 10/- (Rupees Ten only) each aggregating to Rs.1,70,000/- (Rupees One Lakh Seventy Thousand only).

(f) Consequent to reduction, Clause V of the Memorandum of Association of the De-merged Company (relating to authorized share capital) shall without any further act, instrument or deed be stand altered, modified and amended pursuant to Sections 61 and 14 and other applicable provisions of the Companies Act, 2013, as the case may be, in the manner set out below and be replaced by the following clause:

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR BROKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

V. The authorized share capital of the Company shall beRs.1,70,000/- (Rupees One Lakh Seventy Thousand only) divided into 17,000 (Seventeen Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each.

(g) Upon the Scheme being effective and subsequent to reduction, share capital structure of the De-merged Company shall be as under:

Particulars	Amount in Rs.
Authorized:	
17,000 Equity Shares of Rs. 10/- each	1,70,000
Total	**1,70,000**
Issued, Subscribed and Paid-up:	
17,000 Equity Shares of Rs. 10/- each	1,70,000
Total	**1,70,000**

(h) The Scheme envisages reduction of the issued, subscribed and paid-up share capital of the De-merged Company, which shall be given effect to as an integral part of the Scheme. Upon the Scheme being effective, the consent given to the Scheme by the shareholders and the creditors of the De-merged Company shall be deemed to be their consent under the provisions of Section 66 of the Companies Act, 2013 and all other applicable provisions of the Act to such consequent reduction of the share capital of the De-merged Company and no other and separate approval or procedures shall be required to be followed for the purpose of the reduction of share capital by the De-merged Company. The reduction of share capital as above would not involve either diminution of liability in respect of unpaid share capital or payment of paid-up share capital and the provisions of the Act in this regard shall not be applicable. Hence, the order of the NCLT sanctioning the Scheme shall be deemed to be an Order under Section 66 of the Companies Act, 2013 confirming the reduction. The De-merged Company shall not be required to add "and reduced" as a suffix to its name.

(i) It is hereby clarified that the amount by which the share capital of the De-merged Company is reduced under the Scheme, shall not be paid to the shareholders of the De-merged Company, except payment for the fractional shares, if any, arising out of the division of the paid up Equity Share Capital and all applicable accounting standards shall be followed while passing the necessary accounting

(j) Upon the Scheme being effective, the shares and the share certificates issued by the De-merged Company to its members in relation to their holding shall, without any further application, act, instrument or deed, be deemed to have been cancelled and be of no effect on and from the appointed date and the De-merged Company shall issue fresh share certificates to its shareholders in accordance with the provisions of the Companies Act, 2013 and the Rules, made there under.

13.2 Authorized, Issued & Paid up Equity Share Capital of Akar Brokers, the Resulting Company No. 1:

(a) Upon the Scheme being effective and in consideration of the transfer of and vesting of the Broking Division of the De-merged Company into Akar Brokers in terms of the Scheme, all the equity shareholders of the De-merged Company shall become entitled to 7 (Seven) Equity Shares of Rs.10/- each of Akar Brokers against every 20 (Twenty) Equity Shares of Rs. 10/- each held in the De-merged Company.

(b) Upon the Scheme being effective, Akar Brokers shall offer 35,000 (Thirty Five Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each to the shareholders of the De-merged Company as a result of which the Paid up Share Capital of the Resulting Company No. 1 shall be increased by Rs. 3,50,000/- (Rupees Three Lakhs Fifty Thousand only) which shall stand credited as fully paid-up share capital of Akar Brokers.

(c) Upon the Scheme being effective and after allotment of 35,000 (Thirty Five Thousand) Equity Shares of Rs.10/- each the issued, subscribed and paid up capital of Akar Brokers shall automatically stand increased from Rs.15,00,000/- (Rupees Fifteen Lakhs only) divided into 1,50,000 (One Lakh Fifty Thousand) Equity Shares of Rs.10/- each to Rs.18,50,000/- (Rupees Eighteen Lakhs Fifty Thousand only) divided into 1,85,000 (One Lakh Eighty Five Thousand) Equity Shares of Rs. 10/- each.

(d) The authorized share capital of Akar Brokers shall, without any further act, deed or compliance of any section under the Companies Act, 2013 or the rules made thereunder as may be applicable in this regard and after the above mentioned transfer shall increase from Rs. 15,00,000/- (Rupees Fifteen Lakhs only) divided into 1,50,000 Equity Shares of Rs. 10/- each to Rs.18,50,000/- (Rupees Eighteen Lakhs Fifty Thousand only) divided into 1,85,000 (One Lakh Eighty Five Thousand) Equity Shares of Rs. 10/- each and consequently Clause V of the Memorandum of Association of Akar Brokers, the Resulting Company No. 1

For AKAR HR Management Pvt. Ltd. AKAR BROKERS PRIVATE LIMITED AKAR FARE COLLECTION PRIVATE LIMITED

(Director) DIRECTOR DIRECTOR

(relating to authorized share capital) shall without any further act, instrument or deed be stand altered, modified and amended pursuant to Sections 61 and 14 and other applicable provisions of the Companies Act, 2013, as the case may be, in the manner set out below and be replaced by the following clause:

V. The authorized share capital of the Company shall be Rs.18,50,000/- (Rupees Eighteen Lakhs Fifty Thousand only) divided into 1,85,000 (One Lakh Eighty Five Thousand) Equity Shares of Rs. 10/- each.

(e) Upon the Scheme being effective and after issue and allotment of the shares by Akar Brokers, the share capital structure of Akar Brokers shall be as under:

Particulars	Amount in Rs.
Authorized:	
1,85,000 Equity Shares of Rs. 10/- each	18,50,000
Total	**18,50,000**
Issued, Subscribed and Paid-up:	
1,85,000 Equity Shares of Rs. 10/- each	18,50,000
Total	**18,50,000**

(f) The Scheme does not envisage issue and allotment of any share of Akar Brokers to a person other than the existing equity shareholder of the De-merged Company and the shareholding of the members of the De-merged Company shall be in the same proportion of the share capital of the Resulting Company No. 1 in which they were holding Equity Shares in the De-merged Company except to the extent of the impact of the minimum number of the Equity Shares allotted by Akar Brokers to its subscribers at the time of its incorporation.

(g) Upon the Scheme being effective, the new share certificates of Akar Brokers in relation to the issued Equity Shares shall be issued to the shareholders of the De-merged Company and Akar Brokers shall issue fresh share certificates to its shareholders in accordance with the provisions of the Companies Act, 2013 and Rules made there under.

(h) The Equity Shares of Akar Brokers, the Resulting Company No. 1, issued and allotted in terms hereof shall be subject to the Memorandum and Articles of Association of Akar Brokers as well as the terms and conditions under which the shares were issued.

(i) The Resulting Company No. 1 shall, if necessary and to the extent required, increase its authorised share capital to facilitate issue of shares under the Scheme.

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED DIRECTOR

It is clarified that the approval of the members of the Resulting Company No. 1 to the Scheme shall be deemed to be their consent / approval for the alteration of the Memorandum and Articles of Association of the Resulting Company No. 1 as required under Sections 13, 14, 61, 62 and 64 and other applicable provisions of the Companies Act, 2013.

(j) The issue and allotment of Equity Shares by the Resulting Company No. 1 to the members of the De-merged Company as provided in this Scheme is an integral part thereof and shall be deemed to have been carried out under the orders passed by the NCLT without requiring any further act or deed on the part of the Resulting Company No. 1 as if the procedure laid down under the Act and such other Applicable Laws as may be applicable were duly complied with. It is clarified that the approval of the shareholders and creditors of the Resulting Company No. 1 to this Scheme shall be deemed to be their consent / approval for the issue and allotment of the Equity Shares to the shareholders of the De-merged Company as provided in this Scheme.

13.3 Authorized, Issued & Paid up Equity Share Capital of Akar Fare Collection, the Resulting Company No. 2:

(a) Upon the Scheme being effective and in consideration of the transfer of and vesting of the Fare Collection Division of the De-merged Company into Akar Fare in terms of the Scheme, all the equity shareholders of the De-merged Company shall become entitled to 12 (Twelve) Equity Shares of Rs.10/- each of Akar Fare against every 25 (Twenty Five) Equity Shares of Rs. 10/- each held in the De-merged Company.

(b) Upon the Scheme being effective, Akar Fare shall offer 48,000 (Forty Eight Thousand) Equity Shares of Rs.10/- (Rupees Ten only) each to the shareholders of the De-merged Company as a result of which the Paid up Share Capital of the Resulting Company No. 2 shall be increased by Rs. 4,80,000/- (Rupees Four Lakhs Eighty Thousand only) which shall stand credited as fully paid-up share capital of Akar Fare.

(c) Upon the Scheme being effective and after allotment of 48,000 (Forty Eight Thousand) Equity Shares of Rs.10/- each the issued, subscribed and paid up capital of Akar Fare shall automatically stand increased from Rs.15,00,000/- (Rupees Fifteen Lakhs only) divided into 1,50,000 (One Lakh Fifty Thousand) Equity Shares of Rs.10/- each to Rs.19,80,000/- (Rupees Nineteen Lakhs Eighty Thousand only) divided into 1,98,000 (One Lakh Ninety Eight Thousand) Equity Shares of Rs. 10/- each.

For AKAR HR Management Pvt. Ltd. AKAR BROKERS PRIVATE LIMITED AKAR FARE COLLECTION PRIVATE LIMITED

(Director) DIRECTOR DIRECTOR

(d) The authorized share capital of Akar Fare shall, without any further act, deed or compliance of any section under the Companies Act, 2013 or the rules made thereunder as may be applicable in this regard and after the above mentioned transfer shall increase from Rs. 15,00,000/- (Rupees Fifteen Lakhs only) divided into 1,50,000 Equity Shares of Rs. 10/- each to Rs. 19.80,000/- (Rupees Nineteen Lakhs Eighty Thousand only) divided into 1,98,000 (One Lakh Ninety Eight Thousand) Equity Shares of Rs. 10/- each and consequently Clause V of the Memorandum of Association of Akar Fare. the Resulting Company No. 2 (relating to authorized share capital) shall without any further act, instrument or deed be stand altered, modified and amended pursuant to Sections 61 and 14 and other applicable provisions of the Companies Act, 2013, as the case may be, in the manner set out below and be replaced by the following clause:

V. The authorized share capital of the Company shall be Rs.19,80,000/- (Rupees Nineteen Lakhs Eighty Thousand only) divided into 1,98,000 (One Lakh Ninety Eight Thousand) Equity Shares of Rs. 10/- each.

(e) Upon the Scheme being effective and after issue and allotment of the shares by Akar Fare, the share capital structure of Akar Fare shall be as under:

Particulars	Amount in Rs.
Authorized:	
1,98,000 Equity Shares of Rs. 10/- each	19,80,000
Total	**19,80,000**
Issued, Subscribed and Paid-up:	
1,98,000 Equity Shares of Rs. 10/- each	19,80,000
Total	**19,80,000**

(f) The Scheme does not envisage issue and allotment of any share of Akar Fare to a person other than the existing equity shareholder of the De-merged Company and the shareholding of the members of the De-merged Company shall be in the same proportion of the share capital of the Resulting Company No. 2 in which they were holding Equity Shares in the De-merged Company except to the extent of the impact of the minimum number of the Equity Shares allotted by Akar Fare to its subscribers at the time of its incorporation.

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR BROKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

(g) Upon the Scheme being effective, the new share certificates of Akar Fare in relation to the issued Equity Shares shall be issued to the shareholders of the De-merged Company and Akar Fare shall issue fresh share certificates to its shareholders in accordance with the provisions of the Companies Act, 2013 and Rules made there under.

(h) The Equity Shares of Akar Fare, the Resulting Company No. 2, issued and allotted in terms hereof shall be subject to the Memorandum and Articles of Association of Akar Fare as well as the terms and conditions under which the shares were issued.

(i) The Resulting Company No. 2 shall, if necessary and to the extent required, increase its authorised share capital to facilitate issue of shares under the Scheme. It is clarified that the approval of the members of the Resulting Company No. 2 to the Scheme shall be deemed to be their consent / approval for the alteration of the Memorandum and Articles of Association of the Resulting Company No. 2 as required under Sections 13, 14, 61, 62 and 64 and other applicable provisions of the Companies Act, 2013.

(j) The issue and allotment of Equity Shares by the Resulting Company No. 2 to the members of the De-merged Company as provided in this Scheme is an integral part thereof and shall be deemed to have been carried out under the orders passed by the NCLT without requiring any further act or deed on the part of the Resulting Company No. 2 as if the procedure laid down under the Act and such other Applicable Laws as may be applicable were duly complied with. It is clarified that the approval of the shareholders and creditors of the Resulting Company No. 2 to this Scheme shall be deemed to be their consent / approval for the issue and allotment of the Equity Shares to the shareholders of the De-merged Company as provided in this Scheme.

13.4 Upon coming into effect of this Scheme, theDe-merged Companyshall file necessary forms and documents with the Ministry of Corporate Affairs intimating reduction in its authorized, issued, subscribed and paid up share capital and shall pay necessary filing fees as may be applicable and required to be paid in this regard in accordance with law for filing of such forms and documents and on receiving a certified copy of the order of the NCLT approving the present Scheme, the Office of the Registrar of Companies, Gujarat shall record the reduction in share capital of the De-merged Company in terms of provisions of the Companies Act, 2013.

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR PACKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

13.5 Upon the Scheme being effective, theResulting Companiesshallfile the required forms and documents with the Ministry of Corporate Affairs intimating increase in their respective authorized, issued, subscribed and paid up share capital and shall pay the filing fees to the Ministry of Corporate Affairs as may be applicable and required to be paid in accordance with law for filing of such forms and documents, however, the authorized share capital of the Resulting Companies, to the extent of transfer of the authorized share capital from the De-merged Company, shall increase without payment of fee for increase in capital as well as the stamp duty to the State of Gujarat as the De-merged Company has already borne the same while increasing its authorized share capital.

13.6 Onreceiving a certified copy of the order of the NCLTapproving the present Scheme, the Office of the Registrar of Companies, Gujarat at Ahmedabad shall, with effect from the appointed date, record the increase in the authorized, issued, subscribed and paid-up share capital of the respective Resulting Companies in terms of provisions of the Companies Act, 2013.

13.7 The present Scheme of de-merger has been drawn in complianceof the provisions of Section 2(19AA) of the Income Tax Act, 1961 as well as the provisions of Section 230 of the Companies Act, 2013 pertaining to de-merger and should always be read in compliance of the said provisions.

14. ACCOUNTING TREATMENT AND STANDARDS

The De-merged and the Resulting Companies shall account for the present Scheme of arrangement in the nature of de-merger in their respective books of accounts and records strictly in conformity with the provisions of Section 133 of the Act and also the Accounting Standards prescribed under the Companies (Indian Accounting Standards) Rules, 2015 made by the Central Government and particularly as under:

14.1 The De-merged Company shall, upon coming into effect of theScheme and on account of the de-merger of the Broking Division and Fare Collection Division into the respective Resulting Companies. account for transfer of the De-merged Undertaking, the properties, assets and liabilities thereunder on a going concern basis, at the same book value at which the same have been shown in its books of accounts on the close of business of the day immediately preceding the Appointed Date.

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR BROKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

14.2 The excess or deficit, if any, remaining after recording theaforesaid entries and reduction of share capital as stated above shall be credited by the De-merged Company to its Capital Reserve or debited to Goodwill, as the case may be.

14.3 The respective Resulting Companies shall credit its share capitalaccount with the aggregate face value of the equity shares issued to the shareholders of the De-merged Company pursuant to the Scheme.

14.4 In case of any difference in the accounting policies of theDe-merged and Resulting Companies, the impact of the same will be quantified and adjusted in the Revenue Reserve(s), if any, or Profit & Loss Account of the respective Resulting Companies to ensure that the financial statements of the respective Resulting Companies reflect the financial position on the basis of consistent accounting policy.

15. RECONSTRUCTION OF ACCOUNTS

Upon coming into effect of this Scheme, the financial statement of the De-merged Company and Resulting Company prepared in accordance with the provisions of the Companies Act, 2013 and rules made thereunder, as amended from time to time, as and from the respective Appointed Date, may be reconstructed, if required, in accordance with and pursuant to the terms of this Scheme and necessary impact of the same may be provided in such financial statements of the respective companies, if required.

16. OPERATIONSOF THE DE-MERGED COMPANY

The De-merged Company shall not be dissolved or wound up by virtue of or upon the sanction of the Scheme by the NCLT under Sections 230 to 232 read with Section 66of the Act and shall continue with the operations of the HR Divisionviz. Remaining Undertaking as a going concern.

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR BROKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

PART – C

GENERAL TERMS AND CONDITIONS

17. APPLICATION TO NCLT

17.1 The De-merged Company and Resulting Companies for the purpose of De-merger shall, with all reasonable dispatch, make necessary applications to the NCLT Bench at Ahmedabad where the registered office of the De-merged Company and Resulting Companies are respectively situated, for convening and/or seeking exemption to convene meeting(s) of shareholders/creditors and for sanctioning this Scheme under Sections 230 to 232 of the Act, for an order thereof, for carrying this Scheme into effect.

17.2 The Resulting Companies shall be entitled, pending the sanction of the Scheme, to apply to any Governmental Authority, if required under any law for such Governmental approvals which the Resulting Companies may require to own the De-merged Undertakings of Akar HR viz. De-merged Companyand to carry on the business of the De-merged Undertakings, respectively.

18. AMENDMENTSOR/AND MODIFICATIONS TO THE SCHEME

18.1 The Board of Directors of the De-merged and the ResultingCompanies may assent from time to time, on behalf of all persons concerned including the shareholders, to any modification(s) or amendment(s) or addition(s) to the present Scheme, or to any conditions or limitations which either the Board of Directors of the De-merged and Resulting Companies may deem fit or which the NCLT and/or any competent authority, if any, under the law may deem fit, to approve of or impose and which the Board of Directors of the De-merged and the Resulting Companies may in their discretion, deem fit, and to resolve all doubts or difficulties that may arise in carrying out and implementing this Scheme and to do all acts, instruments, deeds, matters and things necessary or to review the position relating to the satisfaction of the conditions of this Scheme and if necessary, to waive any of those (to the extent permissible under law) for bringing the Scheme into effect. In the event of any of the conditions that may be imposed by the NCLT or otherauthorities, which the De-merged and Resulting Companies may find unacceptable for any reason, whatsoever, then the De-merged and Resulting Companies are at liberty to withdraw the Scheme. The aforesaid powers of the De-merged and Resulting Companies may be exercised by their respective Board of Directors, or a committee of the concerned Board of

Directors, or any director or employee authorised in that behalf by the concerned Board of Directors (hereinafter referred to as the "Delegates").

18.2 For the purpose of giving effect to this Scheme or to anymodifications or amendments thereof, or additions thereto, the Delegate(s) of the De-merged and Resulting Companies may give and are hereby authorised to determine and give all such directions as are necessary including directions for settling or removing any question of doubt or difficulty that may arise and such determination or directions, as the case may be, shall be binding on all parties in the same manner as if the same were specifically incorporated in this Scheme.

18.3 If any part of this Scheme is found to be unworkable for any reason whatsoever, the same shall not, subject to decision of the De-merged Company and the Resulting Companies through their respective Boards, affect validity or implementation of other parts and/or provisions of the scheme.

18.4 Further, it is the intention of the parties that each part shall be severable from the remainder of this Scheme and the Scheme shall not be affected if any part of this Scheme is found to be unworkable for any reason whatsoever unless the deletion of such part shall cause this Scheme to become materially adverse to any party, in which case parties shall attempt to bring about a modification in this Scheme or cause such part to be null and void, including but not limited to such part.

19. <u>TAX CREDITS</u>

De-emerged Company and Resulting Companies shall be entitled to amongst others, file / or revise its income tax returns, TDS/TCS returns, wealth tax returns, goods and service tax, service tax, excise duty, sales tax, value added tax, entry tax, cess, professional tax or any other statutory returns, if required, credit for advance tax paid, tax deducted at source, claim for sum prescribed under Section 43B of the Income Tax Act, 1961 on payment basis, claim for deduction of provisions written back by the Resulting Companies previously disallowed in the hands of the De-merged Company pertaining to the De-merged Undertakings of the De-merged Company under the Income Tax Act, 1961, credit of tax under Section 115JB read with Section 115JAA of the Income tax Act, 1961, credit of foreign taxed paid/withheld. etc. if any, as may be required consequent to implementation of this Scheme and where necessaryto give effect to this Scheme, even if the prescribed time limits for filing or revising such returns have lapsed without incurring any liability on account of interest, penalty or any other sum. The Resulting Companies shall have right to claim refunds tax credits, set offs and/or adjustments relating to its income or transactions entered into by it by

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR BROKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

virtue of this Scheme with effect from the Appointed Date. The taxes or duties paid by, for, or on behalf of De-merged Undertakings relating to the period on or after Appointed Date shall be deemed to be the taxes or duties paid by the Resulting Companies, and accordingly the Resulting Companies shall be entitled to claim credit or refund forsuch taxes or duties.

20. SCHEME CONDITIONAL ON APPROVALS/SANCTIONS

The present Scheme is conditional upon and subject to:

20.1 The Scheme being approved by requisite majority in number and value of such classes of persons including the respectivemembers and such classes of creditors of the De-merged and Resulting Companies as required under the Act andas may be directed by the NCLT.

20.2 Sanctions and Orders under the provisions of Sections 230 to 232read with Section 66 of the Act and all other applicable provisions of the Companies Act, 2013 being obtained by the De-merged Company and the Resulting Companies from the NCLT.

20.3 Such other sanctions and approvals including sanctions from anygovernmental or regulatory authority as may be required in lawfor the implementation of this Scheme.

20.4 The certified copies of the Order(s) passed by the NCLT,sanctioning the Scheme, being filed with the Registrar of Companies, Ahmedabad. Gujaratunder the Ministry of Corporate Affairs, New Delhi.

21. EFFECT OF NON-RECEIPT OF APPROVALS

In the event of any of the said sanctions and approvals referred to in Clause 20 not being obtained and/or the Scheme not being sanctioned by the NCLT or such other appropriate authority, if any, this Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any rights and/or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law and agreed between the respective parties to this Scheme. Each party shall bear and pay its respective costs, charges and expenses for and or in connection with the Scheme unless otherwise mutually agreed.

22. COST, CHARGES AND EXPENSES

For AKAR HR Management Pvt. Ltd. (Director)

AKAR BROKERS PRIVATE LIMITED DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED DIRECTOR

All costs, charges, taxes including duties, levies and all other expenses, if any, arising out of/or incurred in securing approvalsand sanctions for the Scheme and matters incidental thereto shall be borne and paid by the De-merged Company. However, the cost, charges, fees, duties and expenses payable to the Stamp Authorities and to the Ministry of Corporate Affairs pertaining to the share capital of the Resulting Companies, shall be borne and payable by the respective Resulting Company.

23. NO CAUSE OF ACTION

No third party claiming to have acted or changed its position in anticipation of the Scheme taking effect, shall get any cause of action against the De-merged Company or Resulting Companies or their directors or officers, if this Scheme does not take effect or is withdrawn, cancelled, revoked, amended or modified for any reason whatsoever.

For AKAR HR Management Pvt. Ltd.
(Director)

AKAR BROKERS PRIVATE LIMITED
DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED
DIRECTOR

SCHEDULE I

DETAILS OF BROKING DIVISION

PARTICULARS	15/06/2022 Broker
(I) EQUITY AND LIABILITIES	
1 SHAREHOLDER'S FUNDS	
(A) SHARE CAPITAL	0.00
(B) RESERVES & SURPLUS	31675138.31
(C) MONEYRECEIVED AGAINST SHARE WARRANTS	
(2) SHARE APPLICATION MONEY PENDING ALLOTMENT	
(3) NON CURRENT LIABILITIES	
(A) LONG TERM BORROWINGS	
(B) DEFERRED TAX LIABILITES(NET)	
(C) OTHER LONG TERM LIABILITIES	
(D) LONG TERM PROVISIONS	
(4) CURRENT LIABILITIES	
(A) SHORT TERM BORROWINGS	0.00
(B) TRADE PAYABLES	
(C) OTHER CURRENT LIABILITIES	0.00
(D) SHORT TERM PROVISIONS	0.00
	31675138.31
(II) ASSETS	
(1) NON CURRENT ASSETS	
(A) FIXED ASSETS	
(1) TANGIBLE ASSETS	0.00
(2) INTANGIBLE ASSETS	
(3) CAPITAL WORK IN PROGRESS	
(4) INTANGIBLE ASSETS UNDER DEVELOPMENT	
(B) NON CURRENT INVESTMENTS	
(C) DEFERRED TAX ASSETS(NET)	0.00
(D) LONG TERM LOANS & ADVANCES	0.00
(E) OTHER NON CURRENT ASSETS	
(2) CURRENT ASSETS	
(A) CURRENT INVESTMENTS	31675138.31
(B) INVEMTORIES	
(C) TRADE RECEIVABLES	0.00
(D) CASH & CASH EQUIVALENTS	0.00
(E) SHORT TERM LOANS AND ADVANCES	
(F) OTHER CURRENT ASSETS	0.00
	31675138.31

For AKAR HR Management Pvt. Ltd. ... BROKERS PRIVATE LIMITED AKAR FARE COLLECTION PRIVATE LIMITED

(Director) DIRECTOR DIRECTOR

SCHEDULE II

DETAILS OF FARE COLLECTION DIVISION

PARTICULARS	15/06/2022 Fare Co.
(I) EQUITY AND LIABILITIES	
1 SHAREHOLDER'S FUNDS	
(A) SHARE CAPITAL	0.00
(B) RESERVES & SURPLUS	44066647.67
(C) MONEYRECEIVED AGAINST SHARE WARRANTS	
(2) SHARE APPLICATION MONEY PENDING ALLOTMENT	
(3) NON CURRENT LIABILITIES	
(A) LONG TERM BORROWINGS	
(B) DEFERRED TAX LIABILITES(NET)	
(C) OTHER LONG TERM LIABILITIFS	
(D) LONG TERM PROVISIONS	
(4) CURRENT LIABILITIES	
(A) SHORT TERM BORROWINGS	0.00
(B) TRADE PAYABLES	
(C) OTHER CURRENT LIABILITIES	2462980.00
(D) SHORT TERM PROVISIONS	13689498.00
	60219125.67
(II) ASSETS	
(1) NON CURRENT ASSETS	
(A) FIXED ASSETS	
(1) TANGIBLE ASSETS	0.00
(2) INTANGIBLE ASSETS	
(3) CAPITAL WORK IN PROGRESS	
(4) INTANGIBLE ASSETS UNDER DEVELOPMENT	
(B) NON CURRENT INVESTMENTS	
(C) DEFERRED TAX ASSETS(NET)	0.00
(D) LONG TERM LOANS & ADVANCES	7618843.74
(E) OTHER NON CURRENT ASSETS	
(2) CURRENT ASSETS	
(A) CURRENT INVESTMENTS	37074603.93
(B) INVEMTORIES	
(C) TRADE RECEIVABLES	14662853.00
(D) CASH & CASH EQUIVALENTS	0.00
(E) SHORT TERM LOANS AND ADVANCES	
(F) OTHER CURRENT ASSETS	862825.00
	60219125.67

For AKAR HR Management Pvt. Ltd.

(Director)

AKAR BROKERS PRIVATE LIMITED

DIRECTOR

AKAR FARE COLLECTION PRIVATE LIMITED

DIRECTOR

AKAR HR MANAGEMENT PRIVATE LIMITED

CIN: U74120GJ2013PTC077942

Regd. Off: 308 Wood Sqaure, Nr. TGB Restaurant, L.P. Savani Road, New Adajan Surat – 395009
E-mail: desai.deven@yahoo.co.in, **Ph.:** 9227903150

Annexure-'B'

List of Assets of Akar HR Management Private Limited as on 01/05/2023 to be transferred to Akar Brokers Private Limited "The Resulting Company No.1", pursuant to the scheme sanctioned by the Hon'ble National Company Law Tribunal, Bench at Ahmedabad.

Schedule

Part I

Particulars of Freehold Properties:

(i) Land:

Sr. No.	Complete Address	Area in Sq. Metres	Brief description of location etc
1	NA	NA	NA

(ii) Building:

Sr. No.	Complete Address	Area in Sq. Metres	Brief description of location etc
1	NA	NA	NA

(iii) Plant and Machinery:

Sr. No.	Complete Address	Brief description of machinery etc
1	NA	NA

Part II

Particulars of Leasehold Properties:

(i) Land & Building:

Sr. No.	Complete Address	Area in Sq. Metres	Brief description of location etc
1	NA	NA	NA

(ii) Building:

Sr. No.	Complete Address	Area in Sq. Metres	Brief description of location etc
1	NA	NA	NA

(iii) Plant and Machinery:

Sr. No.	Complete Address	Brief description of machinery etc
1	NA	NA

For AKAR HR Management Pvt. Ltd.

(Director)

AKAR HR MANAGEMENT PRIVATE LIMITED

CIN: U74120GJ2013PTC077942

Regd. Off: 308 Wood Square, Nr. TGB Restaurant, L.P. Savani Road,
New Adajan Surat – 395009
E-mail: desai.deven@yahoo.co.in, **Ph.:** 9227903150

Part III

A. ***Particulars of Investment in Shares & Securities:***

Sr. No.	*Particulars*	*Amounts (in Rs.)*
1.	MF ABSL Digital India Fund	29,99,999.99
2.	MF ABSL Equity Advantage Fund	29,99,999.99
3.	MF ABSL India Gennext Fund	29,99,999.99
4.	MF ABSL Multicap Fund	29,99,999.99
5.	MF ABSL Special Opportunity Fund	29,99,999.99
6.	MF SBI Flexicap Fund	24,99,999.99
7.	MF SBI Large and Midcap Fund	24,99,999.99
8.	MF SBI Liquid Fund	66,75,138.00
9.	MF SBI Magnum Midcap Fund	24,99,999.99
10.	MF SBI Multicap Fund	25,00,000.00
	Total	**3,16,75,137.92**

B. ***Particulars of Bank Accounts:***

Sr. No.	Bank & Branch	Type of Account	Account No.
1	NA	NA	NA

C. ***Registration with Various Authorities under respective laws, Bodies etc. including licenses and benefits arising out of the notifications: NA***

D. ***Vehicles***: NA

Signature of the Director of the company
Deven Jayavantlal Desai
DIN: 06747854

For AKAR HR Management Pvt. Ltd.

(Director)

AKAR HR MANAGEMENT PRIVATE LIMITED

CIN: U74120GJ2013PTC077942

Regd. Off: 308 Wood Sqaure, Nr. TGB Restaurant, L.P. Savani Road,
New Adajan Surat – 395009
E-mail: desai.deven@yahoo.co.in, **Ph.:** 9227903150

List of Assets of Akar HR Management Private Limited as on 01/05/2023 to be transferred to Akar Fare Collection Private Limited "The Resulting Company No.2", pursuant to the scheme sanctioned by the Hon'ble National Company Law Tribunal, Bench at Ahmedabad.

Schedule

Part I

Particulars of Freehold Properties:

(i) Land:

Sr. No.	Complete Address	Area in Sq. Metres	Brief description of location etc
1	NA	NA	NA

(ii) Building:

Sr. No.	Complete Address	Area in Sq. Metres	Brief description of location etc
1	NA	NA	NA

(iii) Plant and Machinery:

Sr. No.	Complete Address	Brief description of machinery etc
1	NA	NA

Part II

Particulars of Leasehold Properties:

(i) Land & Building:

Sr. No.	Complete Address	Area in Sq. Metres	Brief description of location etc
1	NA	NA	NA

(ii) Building:

Sr. No.	Complete Address	Area in Sq. Metres	Brief description of location etc
1	NA	NA	NA

(iii) Plant and Machinery:

Sr. No.	Complete Address	Brief description of machinery etc
1	NA	NA

For AKAR HR Management Pvt. Ltd.

(Director)

AKAR HR MANAGEMENT PRIVATE LIMITED

CIN: U74120GJ2013PTC077942

Regd. Off: 308 Wood Sqaure, Nr. TGB Restaurant, L.P. Savani Road,
New Adajan Surat – 395009
E-mail: desai.deven@yahoo.co.in, **Ph.:** 9227903150

Part III

A. ***Particulars of Investment in Shares & Securities:***

Sr. No.	*Particulars*	*Amounts (in Rs.)*
1.	MF ABSL Liquid Fund	3,81,48,424.00

B. ***Particulars of Bank Accounts:***

Sr. No.	Bank & Branch	Type of Account	Account No.
1	NA	NA	NA

C. ***Registration with Various Authorities under respective laws, Bodies etc. including licenses and benefits arising out of the notifications: NA***

D. ***Vehicles***: NA

For AKAR HR Management Pvt. Ltd,

(Director)

Signature of the Director of the company
Deven Jayavantlal Desai
DIN: 06747854